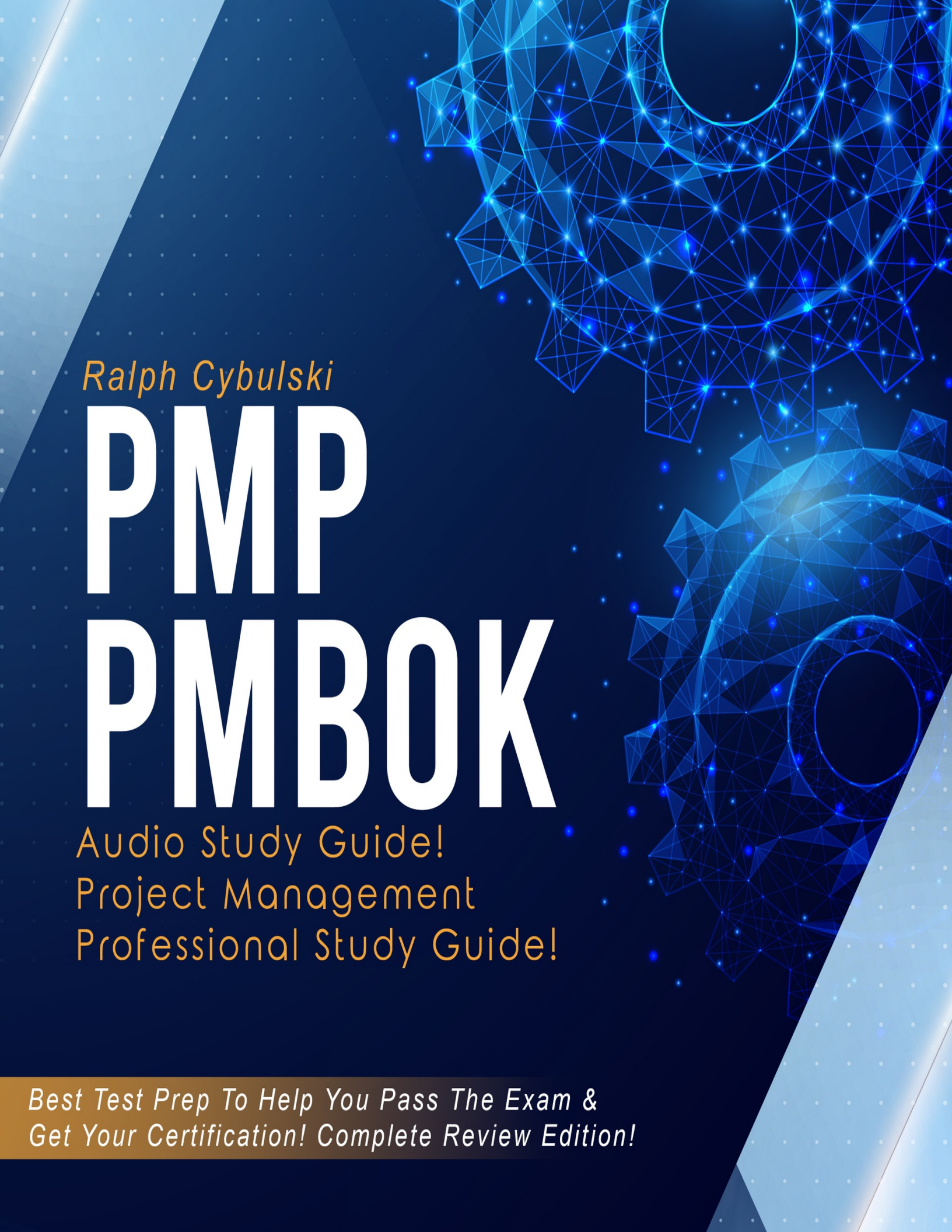




Ralph Cybulski

PMP PMBOK

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Ralph Cybulski

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Project management skills need to be implemented regularly in almost every industry. This includes good communication skills, effective planning, and the ability to understand how to monitor risk and use the information of the project to deliver good-quality services with the available resources in hand. Project management certification is necessary because it helps you to get familiar with all these skills, and it trains you to become a strong project manager in a number of industries. Project management isn't just necessary for the role of a project manager; it is also for people who have responsible roles in a business.

Business Owners

It is highly recommended that business owners take a project management certification course to develop their management skills. The ability to run a successful business is dependent on the way a project is handled, and this will only be done when the higher authorities are familiar with the practices of project management. Whether it comes to delivering good quality services or handling projects that can help the business sustain and grow consistently, project management is vital. It also plays an important role when it comes to figuring out a realistic timeline for the project as well as encouraging the team to have the ability to meet the deadline and work under pressure without compromising the services or the quality of the product.

Business owners need to make sure they are able to deliver services on time, keeping in mind the various expenses that need to be handled, and they also have to focus on delivering a quality product or service. Project management helps business owners figure out how to conveniently and effectively organize the business, plan the workflow efficiently, and look out for certain cases when it comes to hiring employees. Project management certification will also help business owners to equally implement services in the business to enhance the overall performance.

When the business owner is in complete control of the operations and finances of the business, it makes it a lot easier for the workflow to continue

systematically and smoothly. It is the responsibility of a business owner to understand how the storefront is managed, whether it is online or in a physical location. Let's take a look at an example.

Restaurant

If you are the owner of a restaurant, then it's important for you to hire managers to run the restaurant smoothly. These managers will be responsible for the daily operations and to ensure that the meals prepared in the restaurant and the services provided are of good quality. This involves a lot of planning, and the manager needs to ensure that he or she coordinates with the various departments effectively for them to handle the smooth functionality of the service, the dining room, and the kitchen. They also need to look into vendors who regularly provide supplies. Proper storage of the supplies is also vital in order for the restaurant to function effectively.

It is also the responsibility of a manager to ensure that they retain the right employees and recruit people who will be able to carry out the various work tasks with ease. When it comes to monitoring the performance of an employee, making sure their interaction with the customers within the restaurant is cordial is something that a restaurant manager should do effectively. It is also important to ensure that the scheduling of various deliveries and the work timings of the employees inside and outside are correct so that there are no mishaps during the service time.

Apart from looking into the restaurant, the manager also needs to keep in mind the quality and safety of the food that is served to the customers. This means that it is the responsibility of the manager to make sure that there are no delays in the service and every meal is prepared well. There are several legal compliances a restaurant needs to adhere to in order for them to function smoothly, and a manager must be aware of all these responsibilities and rules if they want the restaurant to stay open for business. Some of these include making sure that the restaurant is cleaned in a timely manner and everything that is used to prepare the food or serve the food is cleaned and sterilized to meet the rules. It is also the responsibility of the manager to make sure that they keep track of the behavior of the crowd when it comes to serving alcohol. It is safe to have strong communication skills and people skills because they will be interacting with customers regularly, and they

have to be friendly and warm in their demeanor.

Financial knowledge is another important area of expertise that every manager in a restaurant should be familiar with. It is important for them to understand the cost of every little item that has to be accounted for in the restaurant. In this way, they will be able to monitor the profit and make sure that the restaurant does not overspend when it comes to the cost of the food. This is where the manager has to make sure that they determine the size of the servings, the nutritional content of the serving, and the overall cost per plate. This not only helps the restaurant receive more information about how much they are actually earning, but it also helps them to keep track of when they need to order more supplies, thereby avoiding any delay.

Planning is a vital role for a manager, and apart from being able to plan when and how they need to order a certain food item and other essentials for the restaurant, they also need to stay in constant contact with local vendors for delivery of food that is perishable. They will also have to ensure they check the food from time to time to maintain quality. Various routine services go on in a restaurant, and this includes cleaning of the entire kitchen, maintenance of the equipment, pest control, and waste removal, which should be looked at regularly. These responsibilities are also handled by the manager, and if the manager lacks any of these skills, then the restaurant will not be able to function smoothly. For the success of the restaurant, it is very important that the person in charge has high-quality project management skills that can be applied regularly.

Outsourcing Services

A number of businesses today are also looking into outsourcing services to save on the overhead cost of hiring an in-house team. Outsourcing certain tasks comes in handy when you know for a fact that you will not need the services regularly and a monthly retainer will not be the most beneficial. When it comes to businesses like construction, where the manager will no longer play an important role in the business after construction is ready, it makes sense to outsource the services.

Let's elaborate on this example of construction managers. The role of a

construction manager includes a lot of planning and budget distribution for various tasks that are on hand. A construction manager does not only take a project for homes but also manage to coordinate with projects that include commercial bridges, commercial buildings, hospitals, schools, and roads. One of the most important roles for a construction manager is scheduling because whatever construction is taking place, it is important that it is completed in a timely manner to prevent any inconvenience to people who live or need to work their way around the site. Apart from being able to schedule effectively, a construction manager also needs to have strong communication. This is because there are minute details in every construction project that should be conveyed to the designers or the developers in an effective manner. They also should work in close alliance with government representatives and get permits for certain projects that have to be completed in a tactful way. This is something a construction manager will be able to learn from a certification course.

A construction manager is also often referred to as a project manager or a project engineer. It is their responsibility to ensure that the project is completed in a timely manner and it meets the budget that was set aside to use for the project. In addition to ensuring that the project is successfully completed, they also should maintain a safe environment for the employees to work in and also ensure the safety of anybody who may be passing around the construction site. All construction projects should always be planned very effectively, and there are a number of logical steps that must be followed in order for the project to become successful. This not only includes setting certain timelines but also scheduling in a sophisticated and effective manner. There are a number of projects that have to be planned, and the smart way for a project engineer to get this done would be to use technology to their advantage. Whether it is looking at the job on-site or off-site, a project manager must ensure that they keep track of every little detail, which includes the vendor from where all the supplies come from, the labor that has gone into the construction, and the performance. This will help them to get a clear idea of whether or not they are on schedule.

Creative Services

A number of creative careers such as video editors, gaming managers, technical writers, translators, multimedia artists, media producers, and graphic artists can use project management skills to their benefit. These are the kind of skills that can help them deliver good-quality work in a timely manner and ensure that they meet their client requirements with precision. Let's take a look at an example:

Graphic Artist

A graphic artist is required to design a creative visual for customers after planning and analyzing the kind of requirements that the customer has. With project management skills, not only will the graphic artist manage to deliver more effectively, but they will also understand the importance of communication, which will help them get the desired message across to the customer. Graphic designers are virtual, and most of the communication that takes place happens over electronic media. In order for the customer to be able to make a graphic artist understand what they are looking for, it is important the graphic artist has good communication skills. They also need communication skills to try to convey the message in their work of art, and this could include anything from animation to photography and even the right use of color and font. Graphic artists need to use effective project management skills in order for them to help deliver these projects, and the stronger the project management skills are, the better they will be able to plan the end result.

Graphic designers need initiation skills, and this is something that will be highly noticeable when they come up with a new design that they share with the client. A graphic designer also needs to understand how to execute their project and convey the message to the audience so that they understand what the picture actually represents rather than the image having no meaning at all.

Graphic designers also need to supervise those who are working with them on a particular project to ensure that it is done resourcefully and in adherence with all the details that the client has provided. When project management skills are high, graphic designers will manage to deliver in a cost-effective and timely manner, which is something that clients appreciate.

Educators

The term “educator” is vast, and this could include somebody who is a teacher at a school or a college or even someone who could be a private tutor. Instructors who conduct classes are also known as educators, and it’s important for educators to possess strong project management skills because it’s the skills that can help them to motivate even the weak students and make sure they perform well. Whether it is encouraging a student to learn a new language or teaching them something new that they will be able to use in their daily life, an educator will manage to use project management skills and communication to their benefit. Let’s take a look at an example:

Teachers

A teacher is most likely to teach students of a very young age for a few hours each day, and this means that they play a huge role in the social and intellectual development of a child. Teachers are involved with children from a very young age. During the formation years of a child, they absorb as much information, and they learn new things. This is the kind of information that helps them grow and become successful later on in life. The examples that adults set for children have an impact on their lives. This is the power of education and various other skill sets. This is why an educator must have strong project management skills. Communication is an important skill for every educator to possess because it is important for them to communicate with every student present in the classroom and ensure that they understand what they are trying to teach them. A teacher should also learn people skills because it comes in handy when they interact with their students and the parents as teachers need to be warm and caring always. It is the teacher’s role to tell the students they will be able to perform better, which is why teachers need to establish soft skills and use them daily with students who are not able to keep up with school.

One of the major roles of a teacher is to be able to interact with different types of students. This is similar to the role of a project manager. Whether the students belong to a different religious background or they come from a different economic background, it is the responsibility of the teacher to make

them all feel warm and welcome under one roof. When you talk of the diversity of different cultures coming together or different levels of intelligence in the classroom, this is the responsibility that teachers need to undertake. Teachers also need to make sure that they are involved in various decisions like the budget and the kind of textbooks the students need to use. They also need to be aware of the curriculum activities and the teaching methods that they apply regularly. Putting the skills to the test daily will help the teacher take the right decision at the right time. This is vital for a teacher, and this is why a project management certification course is something that can help them a great deal.

Apart from the educational sector, other industries, such as engineering and health care, also require project management skills. Skills matter so much because they help industries to offer reliable and cost-effective services, which prove to be beneficial for the end consumer. When it comes to health-care providers, such as nurses or physicians, people management skills and communication skills are important. They also need to have risk management in order for them to understand and treat a person effectively. Paralegal employees are people who handle legal work. They need to learn how to get project management skills, apart from making sure their communication skills are strong. They also should be at the top of their game when it comes to financial skills. People related to the technology industry, scientists, and even people who study history need to up their game when it comes to project management. These project management skills come in handy in everyday life, and they just help to enhance the quality of work delivered, which makes a huge difference when it comes to delivering the end result. Product-based industries or service-based industries, met with right project management skills, tend to give better and effective deliveries, which play a huge role in establishing a strong name in the market. Project management is something that everyone should take seriously, and while it is absolutely vital for a project manager to take the exam and learn more about project management so that they can get a certificate, it is also something that can add a lot of weight to the résumé of the employee. This will attract other industries and people who work at different positions in these industries. If you believe project management certification is essential for you, this book will break down the exam so that you will be able to study it more effectively. This comprehensive guide tries to provide you with as much information as possible with regard to the various project management

components and how you will be able to study them effectively to do well in the certification examination.

Chapter 1: Project Management Processes and the Role of the Project Manager

Project Management Processes

While you may be working on a project, you should know how to go about executing the project. This is where the processes of project management come into the picture. A number of organizations do not follow various processes as far as strategic management is concerned. When they receive a project, the team members just dive into the project and go about completing it without looking at the expectations and requirements of the customer. This not only hampers the customer experience but also involves a lot of repetition of work, and the objectives of the project will not be met. Apart from hampering the project, the budget also gets out of hand.

Project success rates across the United States are on the decline due to various factors. Some of the projects fail because they were late or did not have enough budget while others fail because they did not meet the expectations of the customer. Billions of dollars are wasted on these failed projects, and this is something businesses should understand. Organizations will have to start following the right management processes and have certain standards in place that will help them deal with projects in an efficient manner. These processes will also help the management team be prepared for contingencies.

Project management is nothing but the application of skills, knowledge, techniques, and tools. These are all applied to the project activities, and they help meet the project requirements. One of the things that an organization needs to do is focus on the planning aspect, and they need to ensure that they put the plan into action. While this is being done, the progress and performance have to be measured along the way.

There are various processes that the project manager needs to put into place to make a project successful. Here is a look at how each of these processes

works.

Phase Management

In this process, you have to make sure you complete the processes for each of the phases before you begin work on the next one. For example, if you are into assembling computers, then you have to ensure that you manufacture each part one at a time rather than working on all the parts together. Completing each phase and making sure the deliverables are approved by the stakeholder is something that this process should take care of. You should not exit a phase until all the deliverables are completed and approved. What this does is it ensures that the project will head in the right direction and the quality standards will also be met.

Planning

Every project has to be planned appropriately; otherwise, the entire project will be destined for failure. A number of project management teams do not plan their projects because they are overconfident in their ability to manage the same. When you head into a project without any direction in mind, then you will not be able to complete a project successfully and not meet that deliverables set by the client. High-level planning has to be completed before you start any project. This planning should involve each of the phases. Ensure that you assign the right people to the right jobs and make sure that the resources and other supporting tools are put in place. The planning phase will also ensure that a budget constraint is put in place and quality standards are also met.

Control

It is very important that you control all things related to the project. This will ensure successful project completion. A project manager also needs to

manage the risks, time, and benefits very effectively. He or she also needs to ensure that the cost, scope, and other issues are also under control. This will help the project manager have a very accurate idea of the progress on the project, how long it would take to deliver it, and the hindrances that should be taken care of. What this does is it ensures that the problems are tackled as and when they are faced and there are no delays in delivering the project.

Team Management

A project manager needs to make sure that he or she manages the project management team, along with the project requirements. The team needs to understand the approach they need to take toward each project. Each project is different from the other, and there are a number of hindrances that may crop up if the team members are not sure of their responsibilities. A project manager needs to make sure that there is sufficient support to the team members and each of them knows what they need to do. A project manager also has to be aware of the fact that not all team members will work exclusively for one project. Some team members could also be working on other projects, and this is when the project manager will be able to make the most of the team member.

Effective Communication

Communication is the key when it comes to informing team members what their responsibilities are and the role that they need to take up in the project. The project manager will even be responsible for communicating the progress to the stakeholders and get a sign-off on each of the phases. A project manager should be very sharp with his or her communication skills in order for the project to be executed successfully.

Procurement

This is the most crucial aspect of project management. Most project managers usually hire third-party agencies that will help with purchasing equipment that is required in order to ensure project completion.

Integration

Maximum projects out there are unable to stand on their own, and they need to be integrated with other functionalities or projects within the organization. A product manager needs to make a decision to merge the project with various other functions and ensure that the project is completed successfully.

Role of the Project Manager

As stated above, the project manager needs to take care of the project in terms of planning, initiation, execution, monitoring, and closure of the project. The project manager needs to have certain skills to resolve conflicts and also ensure that the project is completed successfully without any risks. Although there will be certain uncertainties in the project, a good project manager should be able to focus on this without getting hassled and able to provide solutions as and when required. A project manager should be able to make conditions that are needed, and he or she should keep the project in mind before making such decisions.

Every project manager should make sure that they are benefiting the project and the organization. The tasks should be aligned with the goals of the organization and should always head toward success. Here are a few roles of a project manager that he or she should take on without flinching. We will look into these roles in detail in a later chapter. This is just an overview of the various roles that a project manager should take on.

- planning a project
- defining the scope of the project
- planning the resources for the project

- planning the sequence of activities
- developing schedules for all the project members
- figuring out the time required to complete the project successfully
- figuring out the cost to complete the project
- cost planning
- ensuring that documentation is present for each of the processes
- risk analysis and planning
- managing contingencies
- monitoring the progress and reporting it regularly
- leading the team
- influencing the strategy
- working with third party vendors
- quality control
- project completion and sign-off

Project Constraints

A project manager should be aware of any constraints that may come up in the way of the project. These constraints will bring about a number of hindrances, and it may affect the functionality of the entire team. A project manager has to ensure that he or she manages to handle the constraints effectively and does not allow the project to derail.

Cost

Cost is nothing but the budget that has already been approved for the project. This includes all the expenses that are required in order to make sure that the project is delivered successfully and on time. Project managers have the

responsibility of making sure that they don't run out of money, and this is the reason they need to find the right balance between overspending and under-budgeting. If a project has been executed poorly by the project manager, organizations will see a last-minute rush to get more funds allocated. Wrong funding is usually a big hindrance when it comes to managing a project effectively.

Scope

This is nothing but the aim of the project. The scope will usually include the project outcome. The project manager will also need to ensure that they list the processes that are required in order to complete the project. Not having a clear scope can prove to be a constraint to the project manager.

Quality

The quality of work to be delivered is something the project manager will need to look at. The project needs to meet the standards that are set by the organization, and this has to be determined by the project manager. If the project manager is not able to control the tasks that are performed in the project, there will be various problems that the organization will face. Delivering a low-quality project can lead to loss of reputation, and this is something that is not acceptable. The project manager has to ensure that the quality is maintained, irrespective of the way the project is executed.

Risk

Risk involves all the external factors that may cause a hindrance in the completion of the project. Risks need to be managed by the project manager. Preparing for risks is something that can be tricky; however, it has to be done as accurately as possible by a project manager. The project manager will also have to ensure that damage control is also taken into account in case the risk

gets out of hand and affects the project.

Resources

Resources are the tools that are needed in order to execute the project. The project manager needs to make sure that all resources are in place in order for the project to be executed effortlessly. Resources include the equipment needed and manpower required to do the job, along with the funding for the project.

Time

Time is of the essence when it comes to delivering the project. There are a number of factors that can affect time, and this has to be taken into account by the project manager. Time includes the deadline of the project and the schedule that has to be followed daily.

Chapter 2: Project Management Framework

Questions

A number of professions depend on theories and the various practices of project management. People have been using these principles ever since the prehistoric age. Engineers and architects have been creating projects based on the basic principles of project management ever since 1960. It all began with a debate concerning whether or not project management should actually be a full-time profession or not, just like engineering and medicinal practice. Eventually, people realized that project management certification not only enables people to legally practice the profession but also enables them to provide the right skill set that helps to streamline the complete workflow of an organization, which is highly recommended.

Project management is something that is highly recommended as a certification course. It increases knowledge not only for project managers but also for a number of other people belonging to different job titles. There is a lot of industry knowledge that project managers actually need to gather, and they need to learn the topics that they need to cover up. While now there are various institutes that practice project management, back in the day, they were only two institutes that had an impact on project management. One was PMI (Project Management Institute), which was based in the USA, and IPMA (International Project Management Association), which was based in Switzerland.^[1] These organizations took project management to the next level and taught people to approach it with a textbook.

Project Management Institute Overview

The project management institute was founded in 1969 with the help of five volunteers. The main goal of these volunteers was to put down all their experiences with regard to project management and address the various issues that people in this position face from time to time. Today Project Management Institute is one of the best professional associations. It is a

widely recognized organization to promote some of the best practices of project management in an effective way. This is a nonprofit organization that makes it convenient for people coming from various economic backgrounds to take advantage of the industry and learn the tools and techniques that are required to successfully manage a project.

The main aim of Project Management Institute is to focus on understanding the various applications for a project and including technology in the best possible manner to derive results that can help people benefit from it and become more efficient with the kind of work they do. Project Management Institute was the pioneer when it came to the project management professional (PMP) certification exam. This exam was first conducted in 1984. Although it was not popular back in the day, today a large number of people attempt the PMP examination to grab a lucrative position in various organizations.

To help people understand the concept of project management, the Project Management Institute later introduced a complete book to explain details of the certification, and the book was known as *A Guide to Project Management Body of Knowledge* (PMBOK).^[2] This guide began to be circulated all across, and people who were in the field of electronic engineering started to show interest in the certification because it became part of the hiring process at various organizations.

Project management has started gaining a lot of popularity, and since 2008, PMI has offices in multiple parts of the world where people can register and choose to take the certification. The importance of discipline and effective project management later developed into a body of knowledge that was referred to as the PMBOK. If you would like to begin learning your project management skills, then PMBOK is an amazing place to start.

Understanding the PMBOK

The PMBOK is a guide that will help you increase your knowledge about project management and figure out how you will be able to take the certification with convenience and ease. This guide is categorized into a total of ten knowledgeable areas.

1. Managing Integration

Integration is one of the most important components of project management. This includes putting together all the various activities that need to be in place for the smooth functioning and delivery of the project. It includes understanding the dynamics and figuring out the character, the statement, the scope, and the planning that is required for the project to be a successful one. You also need to consider keeping a backup plan that will help you to make the necessary changes in case things do not go as planned.

2. Managing Scope

Every project has a certain scope of parameters that one can measure, and while some projects have a wide scope, there are others that come with a narrow scope. When a project has a narrow scope, it simply means that you have to put in tremendous effort to ensure the project does not get diverted from the actual task and it is broken down effectively to monitor the planning and creation. The scope also helps to decide verification and control.

3. Managing Schedule and Time

Every project comes with a schedule, and this is something you need to pay a lot of attention to. The begin date and end date of the project have to be your focus area because everything that has to get done needs to get done in between these two dates. Scheduling is something that plays a huge role in ensuring it is something all the people on the project understand. Scheduling involves estimating the duration that will be required for the various tasks that you break down and arranging the tasks in order and defining them to the people in charge. It also accounts for career management along with control and development.

4. Managing Cost

A project comprises of various expenses and investments that are required. In order for the project to be planned and executed effectively, there has to be proper budget control and monitoring along with cost estimation.

5. Managing Quality

Quality has to be taken into serious consideration because when a project is completed on time but does not meet the quality standards, the effort put into the development of the project is worthless. When managing a project, one has to pay specific attention to quality assurance, control, and planning to make sure that it is in adhering to the requirements.

6. Managing Human Resources

A huge role of project managers involves making sure that they get the right kind of people to handle the task. This involves staying in constant contact with the human resource department and following up on the hiring and development procedures that take place from time to time. It also involves managing the entire team.

7. Managing Communication

There are a number of people who will be involved in the project, and it will touch the lives of multiple people along the way, right from the day the project begins until its completion. For any project to be completed in a streamlined manner, it is necessary to have strong communication skills in order to generate information regarding distribution, performance, and reporting and the management of different portions of the project in an efficient manner. As far as communication is concerned, one also needs to make sure that they are in constant contact with the external stakeholders as well as the people who are part of the team.

8. Managing Risk

Every project comes with its pros and cons and certain risks that one needs to keep in mind. When you are managing a project, you need to be well aware of unexpected events and the fact that certain people may decide to quit the project in between. Budget fluctuation is another thing that plays a huge role in determining whether or not you will manage to pull off the project effectively. With the right risk management skills, one will manage to

analyze certain risks and plan in advance so that they can take quick action and monitor and control the risk before it creates too much damage.

9. Managing Procurement

There are a number of third-party vendors that may be involved with the project, and this involves constant contact with vendors, contractors, and other such people who need to be a part of the project but are not part of the in-house team. Procurement needs to focus on effective responses, contracts that are drawn up between third parties, and information that can and cannot be shared.

10. Managing Stakeholders

Every project that is completed successfully plays a huge impact on the lives of the people involved in the project, as well as the people in the organization. This includes the stakeholders who decide to become a part of the project at an early stage and determine the success factor even when there is nothing concrete. Managing stakeholders as well as identifying which stakeholder will show a lot of interest in the project and have an influence in the project is something a project manager will have to ensure.

These ten rules of project management are usually for projects with a larger framework, but these are what make up the PMBOK and are an integral part of the examination as well.

Understanding Project Management Knowledgeable Areas

We already discussed how projects are divided into various components and how a project manager has to be well versed in certain areas that can help them stay organized and streamline a project to bring it to success. Let's now take a look at project management in detail so that you can begin preparing for the certification course, chapter by chapter.

Project Startup and Integration

Commencing a new project is similar to starting a new business right from scratch. It involves a lot of research, infrastructure, and execution of the project effectively. The rules of project management not only come in handy when it comes to starting up of a project, but it also helps project management teams to understand how important it is to find the right stakeholder to become part of the project so that it can kick-start effectively. Every project requires a budget, and it's only with the help of these stakeholders who share a similar interest that the project can begin without any hiccups. You need to start up by building an effective team that can handle the various aspects of the project from the beginning so that you will not need to worry about finding people in between tasks. Although there may be certain parts of the project that will need to start getting developed at a later stage, it makes more sense for every project manager to have the right employees ready to begin work on the portions even before their services are actually required. While you do not need to pay them, you should have the team ready.

The startup also requires a detailed scope of work and a certain conception budget and schedule that needs to be in place. Starting the different tasks for the project comes in next, and this will happen once a profile is created. The manager then needs to think about developing and handling every little task in a detailed method. This can be done with scheduling and precision planning. When sitting to complete the planning and scheduling, you will have to ensure that nothing overlaps and the project functions smoothly. When you invest time at the beginning of the project and during the integration, it helps to ensure that the project will go on smoothly. It is important to build a budget and estimate various costs that will be required for the startup. Using technology, communication, and effective techniques to streamline the functionality of the project is also required.

It is at this stage that the flowchart and various diagrams are brought in place and the project starts to get executed. When it comes to integrating a plan for a project, there will be multiple jobs that you need to handle, but it all begins with the very first one, and the importance of creating a strong draft is vital.

The start of anything is exciting, which is why the beginning of a project is also the most exciting time for the entire team when the motivation levels are

at an all-time high. This is a great time to make the most out of your team and ensure that they invest as many hours as possible in contributing to the project and building a stronger relationship. When the base of the project is strong, the project manager can then set certain expectations from the project team and expect them to deliver. It is the responsibility of the project manager to create a work environment that not only motivates the team members but ensures that they spend as much time as possible engaged in the project to deliver innovative and excellent results.

Project Scope

The project scope is a draft that is used to define various parameters of the project. It includes workforce behavior and the system in place that will help in the functioning of the project. The project scope will also look at the boundaries associated with the project, and it helps to finalize a lot of decisions that need to be made. The scope of work, also known as the project scope, is drafted outright at the start of the project, and it is this scope that will help the manager identify whether or not all the tasks that were laid out for the project has been completed or not. The project delivery and success can be determined by comparing notes with the project scope, and it also helps the team understand and execute the project effectively.

People usually look for ready-made templates while creating the project scope. However, there is no specific template that works effectively for all projects. There are different details that need to be looked into for some projects. While some project scopes consist of short information that could be just a page long, there are other project scopes that need to be detailed and will go on to describe every little task that the team needs to conduct. The project scope is a basic understanding of what the project will consist of and how it will be carried out, and it is handed over to the stakeholder so that they understand what they can expect from the project.

According to the PMI, a project scope must include the following:

- description of what the project is all about and the scope for the project
- the acceptance criteria for the project

- the deliverables for the project
- things that need to be excluded from the project
- constraints revolving around the project
- assumptions about the project that need clearance

Project scope is the beginning of providing information to all parties, which is why it has to be accepted by everyone involved. It is vital in creating a clear project scope because this helps to effectively manage the project and ensure that the project is completed smoothly without any problems. The scope is a reflection of what has to be accomplished, and while there can be modifications every now and then, it needs to have a clear basic idea of what every team member involved in the project needs to get done. This helps to avoid a lot of confusion, and it also ensures that there is no time wasted when it comes to decision-making for the project. There are various terms involved with project scope, and a popular trend is known as “scope creep.” A scope creep is something that potentially threatens the success of a project because of the requirement of additional resources that were not included in the initial draught. This could be monetary or even time-related, and it puts the project in immediate danger because one doesn’t really know whether or not they will be able to deliver the project in a timely and effective manner along with the new changes.

In an event where a project requires a scope change, it is usually involved with the cost, and in such a scenario, the management needs to come together and make a decisive call concerning what has to be done to minimize the damage. The more transparent the project scope is and the more people it is shared with, the easier it is to modify the project scope in times of need.

Project Schedule and Time Management

The most important aspect to the success of a project is to ensure that it is completed on time. The only way a project will be completed in a timely manner is when a schedule is followed effectively and everyone involved in the project knows what they need to do. This all boils down to the project manager, and the project manager is solely responsible not only to hand out responsibilities to everyone but also to come up with a realistic plan that works effectively. Whether the project is a small one or a large one that is

more complex, handling project control and focusing on cost planning, as well as effective functioning of the entire team, is vital. The project manager also needs to make sure that the project is on track and every milestone is met as per the requirement.

A project schedule is something that one can come up with only after the scope is ready and it is analyzed. Information available on the project scope will help the team develop a certain schedule with milestones. A milestone is very important because it is this milestone that will help the team stay on track and not get delayed at the end of the project. Whether the project is a small project or something that could go on for as long as six months, the important factor that the team needs to focus on is to break down the tasks into small time frames, such as weekly tasks or milestones. These need to be accomplished in a timely manner. In such situations when something goes wrong in a particular week, it becomes a lot easier to handle this problem rather than you suddenly realizing you are behind schedule after months of working. The more detailed the project schedule is, the less likely the chances of something going wrong.

In order to develop a good skill for a project, the team should try to break down the structure of the various tasks involved in the project and try to assign the task to the various team members. This will include handing over responsibilities and all the information and clarification required to get the task completed in a timely and effective manner. In some projects, a diagram can also work well because this diagram will help to identify the activities and the team involved in the activity, thereby making it easy to track progress. If it's a small and simple project, then a diagram may not be required for the project; however, if it is a little more complex, then diagrams are an easy way of keeping track of what is happening and how one needs to go about their work.

One of the key responsibilities of a project manager is to know how to get the team ahead of this schedule to ensure that, in case there are any delays in the future, there is still no actual delay on the final delivery date of the project. The sooner you motivate the team and coax them toward working to an end goal, the higher the success rate will be. This is because, at the start of any project, a team is more motivated than ever before. When it comes to achieving quality and meeting the goal, it's always better to kick-start a program with as much energy as possible.

Project Costs

The basic idea of coming up with a cost for the completion of a project is to ensure that the project is completed within the stipulated time frame. Every project has a certain amount of money set aside for the development and conclusion of the project. When you look at the main objective of the project manager, it is to ensure that the project is completed in a skillful and timely manner and within the budget. In order for the project to be executed effectively, there are various cost challenges that a project manager will face, but it is dealing with these cost factors in an effective way that will help identify how to work on a project without increasing the budget and learning to make modifications when necessary. There are certain projects that may be more complex in nature and also involve emotional situations, such as the development of a critical health drug where cash may not be as readily available as the project manager would like it to be. It is important for the project manager to learn how to modify the project in a smart way to try to get a competitive advantage and a medication that will help people. There is not a realistic way of defining whether or not a project budget that has been set aside is accurate because a budget is basically decided based on the kind of information the team has at an early stage of the project. The project development of the project may eventually increase the cost because there will always be certain information that is missing or certain tasks or resources that need to be brought in during the project completion. A successful project manager needs to learn all these things and deal with them calmly from the time the project commences. The more information about a project that is available, the easier it is to come up with the cost for the project. This will help to develop a rough order of estimate, which is also known as a rough order of magnitude estimate (ROM estimate). Even though a project manager comes up with an estimate, there will be unexpected expenses that may crop up during the development of a project, and the project manager needs to keep stakeholders aware about these expenses.

The cost of a project is considered to be relative to the success and progress of the kind of work involved to complete the project. This is why it is essential to come up with an accurate budget that is as close to the actual cost of what the manager may believe would be the final expense. When planning a budget, it is always better to estimate a higher value, considering price

fluctuations in the market. When planning project costs, one also needs to take into consideration the cost of labor, the in-house expenses, and the amount of money you may end up spending for third-party labor.

A good estimate of the project budget will save on a lot of troubles later on, and that's one of the major reasons why project managers should focus on identifying various techniques to come up with strong budget planning for a project.

Project Quality

If a project manager is looking to establish a strong name in the market, the most important aspect that he or she needs to focus on is the quality of the project that is delivered, along with the project being delivered on time. The project manager needs to ensure that the project gets executed correctly and it is in adherence to the various specifications provided. The project quality not only defines the expectations and specifications, but it also helps the team to learn how to overcome more challenges and focus on delivering good quality that helps to get repeat business.

Inconsistencies with the workflow are something that could cause the project to go downhill, and it is, therefore, the responsibility of the project manager to come up with an execution plan that not only ensures that the employees and the team work well on the project consistently but are also motivated throughout. In order to maintain good quality, timely leaves and breaks every now and then is also essential, and this is something that the project manager should keep in mind while planning the schedule of the project, as well as the cost. This project synopsis has to be appreciated not only by the initial stakeholder but also by the people who may be part of the project and may consider investing or purchasing.

Project Team

Whether the project is a large project or a small one, it is important to have the right kind of people or team working on the project. The team has to be skillful enough to help run and manage the project in an effective manner. There are a few people that should always be part of a project team.

Human Resources and Communication

In order for any project to be done effectively, it is important that you hire the right people. The best way to get these people is to have a good human resources department that's available to hire not only in-house people but also freelancers and even third-party employers.

Communication is essential because this is what helps people to connect. Without a good communication method, it will be impossible for the project to work smoothly. Whether it is face-to-face meetings or even virtual conversations on a regular basis, having a team available to handle this communication is highly recommended.

Risk Management

There are a number of risks involved in almost every project, and it's important to have risk management, not only to identify these risks but also to learn how to work effectively to minimize the effects that it could cause in case it actually comes true.

Project Procurement

The procurement team not only focuses on what the project involves but also the various materials, supplies, and equipment that need to come in for the project to kick-start.

Stakeholder Management

This includes a team of various people who are related directly or indirectly to the project and who can also affect and be affected by the project.

Project Management Office

If it is a project that will go on and on and there is a team that works together on a project, it is recommended that there is a commercial space for the team to come together regularly to ensure that the project is progressing

effectively. This office will be the main ground for the communication of the team to work effectively.

Together, all this comprises of the framework of a project, which is also the starting foundation that can help a project become a strong and successful one that benefits everybody involved.

Chapter 3: Project Management Roles and Responsibilities

In order for any project to get completed successfully, the most important factor that one needs to consider is the various roles and responsibilities a project manager needs to handle along with the team. A project is something that is run regularly at organizations, large and small. Whether it is a simple project or one that is more complex, the project managers need to identify the responsibilities that are needed to be taken up by every individual involved. The faster the roles are allocated, the faster the project will commence and be completed on time. It's not easy for a project to get completed without any glitches whatsoever, but these can definitely be reduced with the right team and effective responsibilities and roles that are dedicated to various people.

Apart from the project manager who is solely responsible for handling the complete project, there also has to be an effective team that understands the various responsibilities they help to take up along with the framework of the project. This should always be their focal area that will help with the project turnaround. When it comes to delegating the roles and responsibilities of the project manager and the team, one of the most important things that need to be taken into consideration is the fact that every member of the project should be well aware of the project framework. This includes the schedule of the project, the scope of work, and the expectations in terms of time as well as resources.

The Project Manager

The project manager is wholly and solely responsible for leading the project, and this simply means that without the project manager, an organization cannot get through. In case of a large project, however, this could be delegated to authoritative personalities who will be present in case the project manager is not available. If there is a large team working on the project, then every department will have somebody to head and handle that particular department. The project manager is the last. These heads will identify the

various kinds of activities that are conducted for the project, and all reports will be submitted to the project manager regularly.

The project manager is also held responsible for the kind of work the project is involved with, and it's the dedication of this manager that will help to keep the team on track with regard not only to meeting deadlines but also ensuring the quality of the project. While the project manager receives the end acclaim for a successfully completed project, they also get discredited if the project was not completed the way it was expected to be. In simple words, the fate of a project is in the hand of a project manager, which is why a project manager has to be well equipped with the various project management skills, and that's where the certification course comes into play. The more you learn about the various areas of project management, the less likely you are to fail. It also helps you to make this is a process even during tough situations.

The Team

The people involved with the project are considered to be the project management team. This could be a group of individuals or multiple groups of individuals working under a specific head to come together and create one big project. Some of these team members could be permanent employees of an organization or an in-house team that has been assembled. The others on the team could also be a temporary hire who will be working only on the specific project. In certain situations, a project manager may also decide to hire freelancers who will consult on the project from time to time, depending on when their services are required. Whether the team is an in-house team or a bunch of freelancers working from different geographical locations, it is the project manager's responsibility to ensure that the entire team works together and has a clear idea of what's going on in the team even in the areas that they may not be responsible to work on.

This is where communication plays a vital role. Whenever the project manager and the project team member want to communicate, there should always be an effective, transparent platform for them to do so. This helps to prevent any delays on the work front, and it also helps people get the kind of result out of the job they are doing. Whether it is a simple task or a more complex job, it is the responsibility of the project manager to ensure that

every team member is getting their job done correctly and in a timely manner.

Responsibilities of a Project Manager

There are various responsibilities a project manager needs to handle, and this includes planning and effective execution of the plans. The responsibilities of a project manager will differ from one organization to another, and they also change depending on the size and requirement of the project. While some business owners choose to create their own project scope and budget for a project, there are others who let the project manager handle these responsibilities on their own. While it may sound intimidating to handle a project right from scratch, it always makes more sense to do it because a project manager is in control of various decisions, including how much money the project needs, along with the time that would be required to complete it comfortably. When these decisions are made by somebody else who is not part of the project or not actively involved in it, it becomes a more pressurized situation. In any situation, a project manager should be prepared for various scenarios, and they need to handle the project effectively. Let's take a look at some of the main responsibilities a project manager needs to take on.

Planning

The project needs to be planned in a timely manner, and it also has to be one of those plans that will have every detail mentioned. While some project managers believe it doesn't make a lot of sense to invest too much time into planning a project, the fact remains that a lot of time needs to be invested while planning a project. This will ensure that all aspects are covered and the plan will be executed well. The most important areas that have to be covered when planning a project are the time frame needed for project completion, the people involved in the project, and the task every person will be handling. Each project has to be broken down into milestones, which would preferably be a weekly pattern. These milestones need to be achieved week on week so that the project is on track. A smart project manager will try to push to get projects completed a little earlier just so that they have a little wiggle room in

case something goes horribly wrong.

Based on the project scope, the project manager will have to follow the plan and a particular schedule to ensure everything goes well. Various policies and procedures should be taken into consideration, and a project manager needs to include them in the planning phase itself. It is also important to identify the various resources available for the project, and this includes the number of people already available in the team that are ready to work and the people that need to be hired. It also involves the various resources that need to be purchased or invested in, depending on what the project needs. Planning is something that will go on throughout the phase of a project, and it's not only at the start. A smart project manager will continue to plan one step at a time even though there is a complete plan in place. These little plans help to fill in the gaps, and in case there is something that is missing, that additional effort of planning during the process of the project will come in handy.

Organizing

It is the project manager's responsibility to ensure that each project is organized effectively so that it is executed as per plan. The project scope is a basic draft, which is also referred to as the blueprint of the project. In order for a project to be executed in the right manner, these plans should be followed. The implementation of this plan is also a big responsibility when it comes to taking the right steps, and that's where a project manager needs to stay focused. Before the implementation of the plan, it is necessary to ensure that everything is organized and kept in a systematic manner so that nothing goes haywire. No matter how often you begin a new project, it is still going to be as challenging as the first one you take up, and there is going to be a lot of chaos. The more organized your plan is and the more systematically you start a project, the less likely you are to be stressed out.

Organizing not only involves assigning various roles to various team members but also ensures getting them clear on the deadline required to achieve the target and clearing their doubt and questions before they begin working. It is very important to make sure that every team member gets the right kind of information so that they do not waste time doing something that is irrelevant. They need to focus on the right steps. This is also the time every project manager needs to focus on providing the team members with the

required resources that can help them start their assigned tasks.

Leading

A project manager takes on the role of a project leader, and this is one of the responsibilities that they need to take up as soon as the project is assigned to them. As a leader, a project manager is responsible for guiding all the team members in the right direction and making sure that nobody goes astray in the process. The best way to do this is to regularly monitor the kind of work the team members are putting out and also ensure that it meets the guidelines. Constant follow-ups and regular meetings with team members or the designated head for every group assigned to the task have to be done so that nothing ever falls off track. There are also some decisions that a project manager may need to take in order for the project to function smoothly. The more prepared a project manager is to take these decisions, the less likely the project will be affected in any way.

Sometimes things do not go as planned, and a project has to be scrapped or terminated. In this situation, the project manager needs to take on the responsibility to let the large team of people working on the project know the bad news. Apart from looking at the various technical aspects of a project, the project manager should also ensure they have people skills so they can connect with all the team members and pay attention to the small details in the project. These details may not be relevant at that time, but it will eventually grow to be something big if not tackled.

Monitoring

In order for the success of any project, the manager needs to stay constantly on their toes and try to focus as much on every team member to see that they are working well and in the time frame. There are various ways to monitor whether or not your team members are working correctly, and they are broken down into three steps.

Measuring

Measure the kind of work that the team members are getting done and ensure that it is being done at the right time. If this is not working out, then the

project leader should take a call to become a little vigilant with the team members to ensure that they deliver in a timely manner and to prevent delays.

Evaluate

Apart from the fact that every job has to be completed in a timely manner, it also has to be completed effectively, and if the team members are not managing to do the job in the right way, then identifying those mistakes is something that is crucial to ensure the success of the project.

Correct

When the project manager has been able to identify the root cause of problem or deviations in a project, it is then their possibility to adjust these problems and correct them so that the project falls back in place.

Monitoring is also important because that's when the team members know for a fact that whatever they do, they will be we looked at. This will ensure that they put in a little extra effort to ensure that there are no mistakes from their end. Project managers usually place their trust in each of their team members and believe that they can deliver the best results. This is not something that helps to get successful results. While one person may learn how to ignore your mistake or turn a blind eye toward it, it's less likely that two people will do it. This is why everything that the team members do should be cross-checked or double-checked by the project manager.

Communicating

One of the most important factors that determine the success of a project is regular and effective communication. Almost 95 percent of the time that the team spends on a project will involve communicating, and when there is a strong platform to communicate, it takes off a lot of pressure on the team member and ensures that they are able to get the job done smoothly. As a project manager, it is your responsibility to ensure that there is proper communication between anyone involved in the project, and this doesn't just involve the team members but also third parties who are working and the stakeholders who may have certain information or details they would like to share. Whether they are the sponsors, the clients, the vendors, or the stakeholders, all of them should have an equal say in the project because they will help to come up with something that will solve the problems of

everyone, and the chances of the project becoming successful increases.

While a lot of communication will take place between the team members and the project manager, it is essential to stay in touch with other people as well. With regard to the project manager and the team members, it is very important to communicate on a daily basis or at least for the number of hours that the person is working in order to provide regular updates for smooth functioning.

Managing Risk

It's very rare to see a project run smoothly, and it's common for risks to occur from time to time. Effective management of this project can help reduce the various negative impacts that a risk would create, and this is the reason risk management is a critical part of project management. When a project manager gets certified, they learn how to effectively deal with risk management, and this plays a huge role in increasing the chances of success of a project.

How to Manage Risk

As a project manager, it is important to identify the potential reason that the project could feel threatened in advance. The earlier the risks are identified, the easier it is to overcome them and for the project to move on smoothly. This could be in various forms, and it could be a simple act of a team member quitting or an unavailable resource that is vital for the progress of the project. As a manager, it is your responsibility to learn how to overcome a risk, whether small or large, and deal with it tactfully. One of the ways to deal with risks is to learn how to communicate with the team members and the various people involved. This is because most of the complications that are created and a majority of the stress generated can be solved with effective communication. In case there is something you cannot find in your own team, you can look for it elsewhere, and the more effort you put into communicating with the right kind of people, the higher the likelihood that you will solve this problem.

Apart from the project manager, it is vital for the entire project team to work well so that they identify their responsibilities and roles and help in the smooth and systematic functioning of the project task and deliver it well.

Responsibilities of a Project Management Team

The project management team has to be just as responsible as the project manager if the team wants to achieve the same success like the manager. It is essential for a project management team to have a good human resource department because one can then manage to source the right kind of team members to work. The members that are assigned to the task play a huge role in the overall outcome. It is vital for these team members to focus just as much as the team manager.

The members need to identify where their expertise lies and how they can contribute toward the proper and effective project success by completing their tasks the way it should be done. They also should show their initiative by not waiting for instructions from time to time and by identifying the project scope and following instructions that were already provided in order to carry on the next task at hand even though there is still a little time remaining for them to start it. If a team member is unsure about going ahead and doing something new, they should always consult the team head or the project manager and ask them upfront whether or not they should begin doing the next stage of development.

The team working together for the project needs to focus on team spirit. The better they learn to communicate and respect each other, the more chances of the project being successful.

While it is crucial for a project manager to identify their skill set, it is also essential for them to recognize the skill of the team and handling responsibilities according to it.

Chapter 4: Project Management Integration

Project management integration is nothing but the processes that are required for successful coordination of a project. Various objectives have to be defined in order to complete the project as per the expectations of the stakeholder. These are the three major processes when it comes to project management integration:

- the project plan development
- the project plan execution
- controlling change

Each of these processes usually interacts with each other and with the processes that are involved in the execution of the project. Each process mentioned above will require some kind of intervention from an individual or maybe a group of individuals. This chapter will tell you all about the tools, processes, and techniques that are used to merge all the processes of project management.

The development of the project plan depends on the other process outputs in the planning phase. This will be helpful in creating a consistent document that will guide the project control and the execution of the project. While the initial draft will not have specific durations and resources, the final plan will have dates set up for each process and resources that will be allocated to each of the processes. This project plan will usually be used to do the following:

- help project execution
- enhance communication between the project manager and the stakeholder
- make sure that you look at the main elements of the project with regard to the extent and timing
- provide guidelines that will help with project control and measurement of progress
- development of the project plan

The project plan will be developed based on a number of factors. This plan

will also be based on historical data and records of previous projects. The product manager from those projects can also be consulted in developing a project plan for a similar project. This data is extremely crucial in helping with the actions and discussing alternatives in case of hindrances.

Organizational policies will also have to be considered when executing the project plan. This means that the project plan must include the following attributes:

- managing the quality of the project via process audits and improvement targets
- noting down a guideline for personnel administration
- noting down all aspects of the project concerning financial control, including the expenditure expected, the accounting codes, and the disbursement policies

When creating a project plan, constraints also need to be taken into consideration. These constraints need to be taken care of, and a backup plan has to be in place in order to get over the constraints without too much of a hiccup. The project plan will also consist of assumptions that will be the key in specifying the start and end dates for the project. All the assumptions will usually have some sort of risk. It should not be too far off the mark, and this is where the expertise of the project manager comes into the picture.

Methodology of Project Planning

A methodology is usually a structured approach that will help the team to develop a plan that will be simple yet comprehensive. The methodology will also involve various meetings between the stakeholders and the project manager. This will help them come up with a comprehensive plan to execute the project successfully.

The skill and knowledge of all stakeholders also need to be taken into consideration when developing the final plan. The project manager needs to welcome input from the stakeholders so that the team members can use their experience to their advantage.

The project manager will also have to put in place an information system that will help the entire team communicate seamlessly and transparently. This could be in the form of a CRM or an internal tool that will facilitate communication and help the project manager coordinate between stakeholders and team members.

Project Plan

The project plan has to be an approved document that will define all the parameters used to manage the execution of the project. This project plan will be distributed to everyone that is involved with the project, and this will help everyone get a clear idea of what the timelines are and the date of completion. In case any changes are made to the project plan, all stakeholders and team members need to be the first to be informed about it. A project plan should include all the following elements and, in some cases, a few more based on the project requirements:

- description of the approach by the team to complete the project on time
- charter of the project
- statement of scope that will include the objectives of the project and the deliverables
- work structure that will define the level of control that will be exercised
- estimated start and completion dates, as well as responsibilities assigned to each team member
- estimate of cost and budget limits
- definition of performance measurement and the schedule for audits
- milestones along with target dates for each of them
- the key staff that is required for the project
- any risk of constraints that may be predicted by the project manager

- the backup plan for each of the risks that are predicted
- any open issues or discussions that are pending with the stakeholders

The project plan can also include any supporting details or input that are received from the other processes within the organization. It can also include detailed information regarding the project, such as technicalities and any additional third-party resources that are needed.

Chapter 5: Project Scope Management Questions

Prior to the commencing of any project, it is important to understand how you will need to go about doing the job and what will be needed in order for it to get completed effectively. Whether you're working with an in-house team or whether you are hiring an external team to help get the job completed, you will have to ensure you meet the project requirements. The most effective way to ensure that you are on track with everything that is happening with the project is to begin with scope planning. Scope planning basically defines a plan that helps you to put across all the objectives of the project that have to be worked on to complete the project successfully and the steps that are going to be taken in order for it to be done. The main purpose of creating a scope plan is so you can monitor the progress and stay up to date with the milestone achievement.

Defining the Scope

Every project manager starts with the objectives of a project and the required terms that need to be laid down. While this forms the basis of the scope planning, it is essential for you to narrow down every detail to the final deliverables to ensure that you know how well your team will be able to perform and whether any external resources are required. A project scope needs to include a document that consists of a detailed plan, the schedule that your team members will follow, a budget that is required in order for the project to function smoothly, and the blueprint that will define every little detail that the team will be performing in order for the project get completed. You need to remember that the project deliverables are tangible, which means that a project result is measurable and you will be able to analyze and estimate a deadline for the project to be completed.

The deliverables refer to the kind of materials that are provided at the end of the project, and it is important for the project manager to define a detailed deliverable in the blueprint. Let's take an example of some of the detailed deliverables project managers have listed:

- a single-engine plane versus a twin-engine
- a daily report instead of a weekly report
- a blue marker instead of a red marker

These deliverables help the entire team to understand the agreed-upon terms, and it ensures that they do not go out of focus. It is important to come up with a strong deliverable during the developmental phase to get the desired result as the project nears completion.

Project Requirements

While this is difficult to identify, it is the job of a project manager to take note of the various requirements for the project. The requirements are basically defined as the various characteristics that lead to the final end product or service. It also defines the various conditions under which the project will be taken forward. A project manager needs to understand the requirements of the project, the main objective, and the various things that should be taken into consideration in order to stay focused. The scope plan is basically created to work well on the project and ensure that right from the time the project begins till its implementation and final delivery, there are no problems that arise. The requirements of the project should always consist of various kinds of information and have the answer to almost all the questions in regard to the project, as well as how the project will work. While some information may seem like it absolutely makes no sense, it is still necessary for you to get that kind of information because the more information you have about the reason the project has been undertaken, the more effectively the project will be able to come together.

When it comes to taking note of the project requirements, every detail should be taken into consideration. This includes the dimension, the user-friendliness of the product, and the ingredients that need to go into it, the color, the smell, etc. Let's take the situation below as an example:

The requirement of the project is carton that can hold up to two dozen eggs. There are various aspects that you need to take into consideration while creating the carton. It is important to understand the shape of the carton and

the durability. The project leader will also need to consider the design, the color, and the image that will be used on the carton. The size of the eggs also plays a huge role, and while some people may believe that all eggs are the same size, the truth is it depends on what kind of eggs that one is talking about. A smart project manager will find out what the dealer is planning to ship in the carton to ensure that there are no problems in the later stage. If the cartons are designed for chicken eggs but the customer ships duck eggs in the carton, it will be too small for the eggs. A change in the design in the later stages would be very difficult, and this is why a scope is so necessary.

The requirements should also make sure that it is tested, measured, and proven to be beneficial to the business. In most businesses, there are various products in place that need to be replaced; and that's when it gets a little more pressurizing. When you create a product for a new company without any prior product to live up to, it's not that difficult, but when you have to create a new product that has to compete with an existing successful product, there is even more pressure to determine how well the product will do. Products also need to be defined on various levels of system design so that they can be sorted out into various categories. While checking the performance and design of a product, six basic categories should be taken into consideration:

- nonfunctional
- functional
- business
- technical
- regulatory requirements
- user

Functional Requirements

The functional requirement basically refers to the *final delivery* in nontechnical language. Using nontechnical language is important in order to explain things to the customer who has little or no knowledge of the technical terms. The customer needs to understand the product or service, and this

helps in the development as well. The functional requirements of the product or service need to be simple to understand, along with being user-friendly.

Vehicle Example

If you are looking to purchase a vehicle for the business or for the project, you will need to look at the requirements of the business. For example, you should also understand whether or not the vehicle will be able to carry the load that has to be brought into the shop or back to the warehouse, in case it is a product-based requirement.

Computer System Example

Various kinds of software may be required in order for the smooth functioning of the project. You need to understand what software can prove to be beneficial in enhancing the project and making it simple or easy to deal with.

A project manager needs to understand what is required rather than how it will be delivered. Identify what is required. Make it simple for you to figure out the answer rather than trying to understand how you will make it work.

Nonfunctional Requirements

Just as the name suggests, nonfunctional requirements do not need to be functional, but they should have specific criteria to be met in order for the product of the project to get completed successfully. Most projects have various instructions that are placed before beginning the project, and one needs to keep in mind these requirements. This is where the nonfunctional requirements have to be met. There could be various solutions you can choose in order to work on a project, but the requirements need to be paid careful attention to because some of these solutions may be restricted for a particular project. When we take a look at the vehicle example for the functional requirement, without constraints, there are various options available to choose from. You can pick any vehicle, beginning with a small

pickup truck, and go right up to a large cargo-carrying crane. Identifying the nonfunctional requirement is necessary. The best way to do it is to split the requirement into two phases, which include the development and performance.

When we look into the performance constraints, you need to make sure of the following things:

- The vehicle that you purchased meets all the requirements of the project and fits into the budget.
- It manages to carry the load that requires to be transported from time to time in an effective way so that you will be able to save on time and the completion of the project can be expedited.
- The height of the vehicle should be at least ten feet.

Similarly, when we talk of development, we take into consideration the example of the computer system:

- Look for a system or software that can handle at least ten employees at a time
- It should have an effective communication system to make it easy for people to communicate with each other while working on the project.
- It should also be able to increase the number of people on the system without lagging.
- Generate a backup of all the information stored to review back and forth when required.

You also need to have certain rules when it comes to using the system software.

- Employees should not use the system software outside of the office operating hours, which are 9:00 a.m. to 5:00 p.m. all weekdays.
- All the conversation should also be emailed manually.
- The software should be installed on mobile phones as well to ease

the communication barrier and make it easy for the team that's not available on the desk to work.

- It shouldn't be very heavy software so that it's easy to download.
- It should be available on multiple operating systems, taking into consideration the various smartphone models the employees of the team may use.

Nonfunctional development also comes with certain constraints:

Time

You need to take into consideration when the project has to be delivered.

Resource

This is the amount of money available to develop the particular deliverables and the available team/resources in-house, as well as the ones that have to be outsourced or purchased.

Quality

Making sure the project is up to the standards and follows the correct development technique that was suggested at the start of the project during the scope.

Technical Requirements

Technical requirements are similar to functional requirements because they help solve a problem. It also helps to ease the technical requirements functionality, along with smoothening the project development process. Depending on the kind of project on hand, there are going to be a ton of functional requirements that need to be taken into consideration. All these requirements will also need to meet the various terms and condition. The kind of data involved in the development of the software, the language used, and

the existing infrastructure have to be taken into consideration. One also needs to remember the various telecommunication protocols that have to be followed.

Business Requirements

The business requirements refer to the various needs of the organization that may be different from the management point of view. These requirements need to rationalize with the actual plan of the project in order for it to deliver better results. The requirements of the business usually come across as broad outcomes, and they are not usually very specific. There will always be a vision for a product that will come across as business requirements, but this is not your end goal objective. It is the project requirement. You should also know that these requirements will assist in developing the actual project scope, which comes in use during the development of the project.

User Requirements

Apart from the business requirements, there will also be a ton of user requirements that you need to keep in mind. If it is a user-friendly product, then the product has to be developed in a manner that it is convenient for everybody to understand, and the users will benefit from its experience. The user requirements may also take into consideration the design and the pricing, which all matter to a user. The best way to approach the user requirement is to think like a consumer and not from the business perspective.

Regulatory Requirements

This is one of the requirements that cannot be ignored. Regulatory requirements are non-negotiable because these come with various laws that are applicable, licenses and strict rules that are required to be adhered to for the project to not have any complication. In some situations, these are even

imposed by the government, and it is vital for everybody in the team handling the project to follow these regulatory requirements perfectly. Let's take a look at an example of a regulatory requirement:

Let's talk about a project to develop new automated teller machines (ATMs) for a bank in a specific area. The business will already provide you with certain physical attributes of the machine and the basic functionality, making it easy for you to understand the requirements that need to be met before the project even begins. Let's take a look at some of these regulatory responsibilities and requirements that a project manager should stay familiar with in order to ensure that nothing goes wrong during the development of a project as secure and vital as this.

Functionality Requirement

The system has to be very smooth in functionality and fast because, at the end of the day, there will always be a large line outside an ATM machine. If the machine does not function efficiently. It is also important for the machine to be able to produce a hard copy of the transaction that occurred prior to the completion of the transaction.

Nonfunctional Requirement

The machine should have a clear screen that should be a touchscreen and also include buttons on the side for people who are not familiar with touchscreen monitors. The background of the screen should always be white, and the text on the screen should be black to make it easy for people to read.

Technical Requirements

The machine should be seamlessly integrated with the customer database of a particular bank so that as soon as a customer uses the machine, it pulls up the data almost instantly, allowing the customer to continue without any delays.

User Requirements

This is a standard withdrawal procedure that enables a customer to quickly log into the account using their ATM pin and withdraw cash or deposit cash, depending on the functionality of the machine, all within a time span of two minutes.

Business Requirements

As a third-party ATM for other banks or ATM cards, the machine should be able to charge an additional amount for every transaction.

Regulatory Requirement

It needs to be connected to the power source with specific instruction and needs to have a backup in case there are fluctuations in the electric power. The backup has to be approved by the company.

This is a specific requirement that may seem challenging, but when the project scope is created effectively, taking into consideration all these aspects, the end result will always work out well. Most project managers try to haste into designing a project scope without considering all the requirements that need to be met effectively. Taking time in observing these requirements will guarantee that the project is successful, and while this may take a little more time, it turns out to speed up the process toward the end of the development.

It is also necessary to document all these requirements because it makes it easy for everyone to understand as well as reason with the requirements. The more detailed the requirements definition is, the less criticism or questioning will happen. This will speed up the process. You should also leave room for modifications of the scope because there may be certain changes that need to be incorporated in the scope, and this will help modify it without risking the project or increasing the workload on the team members.

While the project manager needs to document all the requirements, they do not have to perform all the tasks, and they can always be handed out to different people, including the requirement analyst, business owner, and business analyst in case of a large company. Certain requirements also need to be fulfilled by the team members or the customer, but the project scope

helps to define the completion of the project systematically by covering up all aspects that help to brainstorm the planning of the project in a better way. The scope is something that helps to understand how the project will look like at the end and what it means to do in order to benefit the end user. This makes it easier to design and develop the product from the initial stages itself.

Chapter 6: Project Schedule Management

Questions

Every project needs an effective schedule, and in order to develop a schedule that will work according to the requirements of the project, there has to be a defined activity list. The activities in the list need to be sorted out in a systematic order so that everyone involved in the project knows exactly what needs to be completed first and what has to be completed later on. The planning also needs to involve a specific time frame with regard to every task that is defined so that the manager and all the members in the project know for a fact that the project is on track and there are no delays.

Defining Activities

It is important for the project to have a clear definition of every activity, and all these activities need to be broken down into various elements to make it convenient to deliver the end project. While these activities are not deliverables on their own, they contribute to the fulfillment of the end deliverable, and this means a lot. When the little things in a project are not tackled, it tends to become something big later on, and it is difficult to fix a larger mistake toward the completion of a project. This is why planning is so essential. When there is a proper project plan in place, it becomes easy to identify small mistakes and rectify them before they turn into something bigger. A smart project manager not only understands how to define all the activities that are involved but also creates a streamlined process that should be followed. What this will do is it will enhance the results of the project while keeping mistakes to a minimum.

A project manager should also have the capability to change the formation of the project based on the circumstances in hand. This can only be done once there is a project scope in hand. The definition of the project and planning is something that can come together once the scope is detailed and ready to go. Whether it is for something as small as creating a new website for the project or a larger decision that would involve renting out space for the team to come

together and work on the project, all this has to be a part of the planning phase for the project. Whether you want a new project manager or you have one for a long time, the essence of learning how to effectively streamline all the functionalities of a project usually depends on the planning. This is why a certification comes in so handy. Good certification not only helps you to understand how you can plan your project without any problems, but it will also give you the necessary knowledge to help you cover up your tracks and ensure it is done in the right way.

Some projects turn out to be unexpected and have multiple variations, which is why every project has to be created as a fresh and unique project. Even if you have dealt with similar projects in the past, you cannot use the same plan that was associated with that project for the new one. The positive side of doing a project that you have already done in the past is that you have a lot of knowledge and it helps to minimize the risk; however, it is vital for the success of the project that everything is done from scratch. The scope and the plan also need to be put into place. While you can always refer to your experience and get something out of it, defining fresh goals are necessary. Let's take a look at an example of a wedding and how the project is handled effectively by the wedding planner.

A Case Study

A couple has decided to tie the knot, but they have absolutely no time in hand to plan the wedding. They have been dating for a while. All their friends and family members are quite excited about the wedding, and this is why they want to have a grand celebration and invite everyone who has been involved in their life right from when they were small children. They have decided to have the wedding in the month of December, which makes it even more hectic, considering it is the festive season and there are a number of couples who have decided to get married around that time. Both the bride and groom are very excited, and they want to make sure that everything is done to perfection and nothing is left out, which is why they decide to go ahead and hire a wedding planner.

The couple ropes in a wedding planner and then decides on certain factors, such as the fact that they want to have a large wedding and they want it to be

a grand celebration. They even ask the planner to arrange the rehearsal dinner because they don't have any time in hand since they have career commitments and don't want to take any leaves prior to the wedding. They have decided to get in touch with the planner only in the month of August, which leaves them with around three months of proper planning. Since nothing has been arranged, the planner has certain responsibilities that need to be completed on top priority. Some of these responsibilities include the following:

- resolving the right venue
- arranging for a dinner menu
- getting the bride and groom to approve the dinner menu
- flower arrangements
- invitation
- band

All these areas need different teams to be working on it in order to plan the end project, which is the wedding. The wedding planner (in this case, the project manager) needs to coordinate with the teams to ensure everything is going as planned and all the tasks are synchronized. Prior to all this, the planner also needs to sit down with the bride and groom and get a clear picture of the color theme that they may be looking into.

It is important to discuss these little details with the bride and groom prior to taking any of the decisions. It is only once the planner has a clear idea about what theme or color combination the couple wants can they go ahead and get a few card suggestions for the invitation as well as flower arrangements for the venue. The theme also needs to reflect on the dinner menu, which is why it is vital to get all this information. The wedding planner also needs to get some intimate details about the couple, such as their favorite song and the music that they would like to listen to on the wedding day. The song for their first dance is also something that has to be taken into consideration around this time.

Activity List

In order for the plan to work effectively, there has to be a detailed activity list that is planned out. While there are a few tasks that need to get done immediately, there are also certain dynamics that need to be cleared out prior to all this. In order for the invitation and the dinner menu to get finalized, there has to be a guest list and the total count ready. Ideally, a planner should begin with this list as it comes in handy, not only to decide the menu and the invitation but also to pick the venue to ensure that it will be able to accommodate the people the bride and groom plan to invite. If the crowd is large, then it always makes more sense to opt in for an outdoor venue because there's more space that way, and the bride and groom will not have to worry about limited seating arrangements. Once the colors are decided, the bride and groom then go ahead and decide what sort of flowers they would like for the wedding. Once the flowers are finalized, the wedding invitations can then be designed based on the color theme and the flower selection to make it look in sync with the complete wedding. So far, everything seems to be going as planned.

Once all the invitations are taken into consideration and the dinner menu is finalized along with venue, it is necessary to make sure all the invitations go out on time. There also has to be an RSVP, and since the bride and groom are not available to handle this responsibility, somebody needs to step in. The planner could consider taking up this responsibility or asking a family member to handle the phone calls accordingly.

Some wedding planners only handle the wedding from a broad perspective, such as the decoration, the invitations, or what to have on the dinner menu. Other wedding planners also get involved with the dressing of the bride, the groom, and the maid of honor, along with the flowers and the page boys. While this is not necessary, it is also part of wedding planning, and as a responsible project manager, you may want to consider getting in touch with the right seamstress or tailor for the bride and groom, as well as the people who will be participating in the wedding. Buttonholes and headgear for the women also need to be arranged and should be in sync with the flowers and the color theme. Once all this is done, the wedding planner will then sit down with the bride and groom and ask them who would be raising the toast at the ceremony. Selecting the person to raise the toast, talking to them, and asking them to come up with a speech are responsibilities that are a part of the job of a wedding planner. They also need to often step in if the person does not have

a speech ready and needs some assistance with creating one.

Once the plan is finalized, the wedding has to be broken down into various segments, which begin with the nuptials. Arranging the car that will bring the bride and groom to the church and making sure that the photographer and the videographer are available are a few things that need to be taken into consideration by the wedding planner.

A car also has to be arranged for the immediate family to arrive at the reception venue, and the changing of clothes also has to be considered. While some brides opt to wear the same gown for the nuptials as well as the wedding reception, there are others who choose to change into something more comfortable so that they can dance the night away. There are a few details that need to be discussed at the start of the planning to avoid confusion later on.

Problems That Need to Be Taken into Consideration

Various problems arise when a wedding begins. It could be something as simple as an invitation gone wrong to something as major as the best man not being able to make it at the wedding. It is the responsibility of the wedding planner to have a backup for almost all situations because a wedding is something that holds importance in the life of a couple. Irrespective of what goes wrong, it is the responsibility of the planner to ensure that it is as smooth and memorable as possible.

Just like when it comes to planning for weddings, all projects have to be taken with utmost care. Here are a few predecessors that you may want to consider when planning a project.

External Predecessors

A project sometimes depends on various external factors. In the example of the wedding, this would be the venue and arrangement of the flowers, which

all have to be dependent on an external vendor.

Discretionary Predecessors

There are certain things that may not be necessary for a project but still may have to be fulfilled just to provide better service. Wedding planners are not usually expected to assist the couple in preparing their wedding outfits, but it's something that they always offer to do just to take off the pressure from the couple and ensure that they are as relaxed as possible for the wedding day.

Mandatory Predecessors

There are certain things that absolutely need to be done for a project. In the case of a wedding, it is the wedding invitations that have to go out on time to ensure that all the guests make it to the wedding and help to celebrate with the couple.

Milestones

As a wedding planner, certain milestones have to be achieved in a short period, considering the time constraint. The milestones involved would be the following:

- settling down on a theme, color, and venue
- printing out invitations and sending them out on time
- finalizing the menu
- dress rehearsal and fitting
- the Gantt chart

The Gantt chart is something that was designed by Henry Gantt. He defines a

specific project schedule that is easy to follow. This chart helps to summarize the various elements and the time frame that is required to get it completed effectively, as well as the breakdown of the various structures of the project.

A Gantt chart is something that you should definitely take a look at because this is a visual image that you should keep in mind. Not only does it help you to organize your tasks and define your objective, but it also helps you to stay determined. It is a great tool for project managers.

Network Diagram

Some project managers even use a network diagram in order for them to plan and schedule a project. This diagram involves various tasks and helps the team understand what has to be done on a priority and what can be done later on. This covers up everything, from the resources to the cost, as well as the duration of the task, making it easy to understand.

The Critical Path

The critical path is also a method of project planning that involves describing the various tasks in a sequence and listing out the shortest possible time that is required in order to complete the task. Although this may be a very simple form of project planning, it is effective when it is done in the right way. It is necessary for every little task to be broken down to the smallest detail and be mentioned on the critical path diagram so that everyone knows what has to be done and how much time they have in hand in order for the task to be completed. The length of the completion time is usually put down in weeks, but if the task is a little small, you can also consider days or even hours to get it done and plan a critical path for each day.

Chapter 7: Project Cost Management Questions

Money is the most important factor when it comes to the success of a project. There are a number of things a project manager needs to keep in mind when it comes to deciding the cost of the project. As stated earlier, the project manager needs to find the right balance between overspending and under-budgeting. These are the things that can make or break a project, and there are various resources that the project manager needs to pay attention to while figuring out what the cost of the project is.

The project manager needs to prepare a detailed estimate of the costs that are involved while coming up with the cost estimate for the project. They or she can look at the past experiences that he or she may have had with similar projects or even use the help of the team members to understand what the requirements are. It is important to give the estimate as close to accurate as possible, because running around for additional budget when the project is about to end can be extremely stressful. There are various techniques that a project manager can put to use that will help in finding out the estimated cost of a project. Here are a few techniques that can be used:

Cost of Resources

Resources can include anything from the people working on a project to the materials that are required to complete the project. While people would work on a fixed budget, it is the cost of the material that varies from time to time, depending on the kind of materials that are needed. For example, if wood is needed as part of a project, then you will need to contact a third-party vendor in order to get regular wood supply. Wood will usually be cheaper during the dry months of the year; however, if it is the rainy season, then you would have to pay more money in order to get good-quality dry wood. Finding out the cost of the resources is extremely crucial because this is something that will make up a major part of the cost planning.

Cost of Vendors

There will be times when project managers would need to work with external vendors in order to complete a project. There will also be times when there will be more than one vendor that would be working on a project. Some project managers even use the bidding process in order to find the right contractor for the job. This is another major cost factor that has to be included by the project manager.

Reserve Cash

Reserve cash is something that the project manager will have to keep aside so that they do not run out of money at the end of the project. This is where the experience of the product manager will come in really handy. When a product manager keeps reserve cash aside, there is a very good chance that the project will be completed well before time and without any kind of overspending.

Quality Costs

This is another expense that the project manager will need to keep in mind while preparing the cost planning for the project. Every project will need quality checks done from time to time in order to make sure that the project is meeting the requirements set by the stakeholders. The quality checks will need to be budgeted, and this has to be taken into consideration by the project manager.

When a project manager uses every tool appropriately, he or she will be able to come up with the cost planning that will help the project get completed successfully and without overshooting the budget.

Managing the Cost for the Budget

There will be times when the product manager will need to keep certain things in mind in order to manage the cost effectively. Irrespective of how

proper the cost planning was done, there will be various factors that vary from time to time. Managing these factors is something that the project manager will need to be careful about.

Cash Flow

Managing the cash flow is extremely crucial when it comes to taking care of a project. While the project manager will require cash at his or her disposal when it is needed, the financial team will always be hesitating in letting out money to the project manager without proper justification. There will be times when a project manager may not be able to justify the cost, and there could also be times when the project estimates would be slightly off the mark. While there may be sufficient money to pay for the additional expenses, the project manager will still have to convince the financial committee to release the extra funding. That will also be times when the vendors and contractors will want to get paid as soon as the work is completed. This is another situation that the project manager will need to handle. Setting expectations with these third-party vendors at the beginning of the job is crucial because ready cash flow is always important for a project manager and spending money as soon as a work is completed is not a feasible option.

Managing the Contingency Reserve

There will always be unexpected expenses that will keep coming up in each project. In such a scenario, the project manager will need to work within his resources to make sure that the project continues moving forward without waiting for additional funds. As stated earlier, additional funds are very difficult to get if the project manager does not provide any justification for the requirement. Also, there may be contingency funds. There is a possibility that the funds may not be released immediately. This could result in the progress of the project being stopped. In such situations, the project manager would have to think on his feet and move around the funds that are allocated for other processes. For example, if more work is required to complete the project and an additional contractor was hired later on to finish off the extra work, extra money to pay off the third contractor can be taken from

additional resources set aside for the other costs. The project manager can also keep the contingency reserve fund with him at all times, as this will help save on time when these reserve funds are called into.

Project Manager Reserve

The project manager reserve is also part of the cost planning but will not be documented anywhere. This reserve fund will be made available only to the project manager in case something new comes after commencing a project. This new development has to be something that will allow the project manager to use the allocated funds. This could be anything such as new technology that would be of assistance to the project, or it could also be in the form of new software that could be used to help the project manager finish off the project earlier than the deadline. No matter what the new advancement would be, the project manager has to be sure that this will help the project develop at a constant pace without compromising the quality. Although the manager reserve fund will not be part of the cost planning, it will be included in the overall budget of the project.

Analyzing the Budget Halfway through the Project

Most project managers usually wait till the project nears completion, and they will see if any extra money is available that can be used. One good thing that a manager can do is analyze the budget once they are ten or fifteen days into the project. This analysis should look at the time spent on the project and the amount that should have been spent by this time. This will give the project manager a clear idea of the progress that has been made, both toward the project and also in terms of the budget. If a project manager feels that the budget is being overspent, he or she can make a managerial decision and reallocate the funds from other activities that are involved in the project. Similarly, if a project manager feels that the team is using less than what was allocated to them, he or she can have a meeting with the team and encourage them to use the budget that has been allocated. Under no situation should the quality of the project be compromised just because they want to save on the budget.

Completing Cost Planning Effectively

Once all the factors are taken into consideration and all the activities have been broken down, the project planning report has to be submitted to the stakeholders. This will include various factors that will assist the project manager to justify the need for the funds. It will also show where the funds are being spent.

Timeline for the Budget

The budget will also have a timeline that will be similar to the timeline of the project. The budget timeline will involve the activity start date and the amount that has been allocated to that particular activity. In this manner, the stakeholders and the project manager will be able to analyze how much money is required for a particular project and on which dates they would be required. This way, the financial management team will be able to transfer the funds into the project managers account one or two days before an expected activity is to commence. Any delays in these transfers will usually cause delays in a project, and this is something that the project manager cannot afford to do. This is the reason that the budget timeline will need to be very stringent and as accurate as possible. Similar to the project plan, if there are any changes in the cost plan, then the first people to know should be the stakeholders and the team members that are involved with the project.

Methods of Cost Estimation

There are various proven methods of cost estimation that a project manager can use. These estimates need to be very accurate, and the project manager will be able to use this technique in order to find the right estimate. Although the project manager can fall back on his experience and make sure that the estimates are as accurate as possible, these techniques can be used, and the cost can be planned as accurately as it should be. Let's have a look at each of these techniques and how they can help project managers in decision-making.

Analogous Estimate

Analogous estimate is the technique of using an estimate that is based on another project. This means that if another project had a certain amount allocated to it, then a similar amount will be allocated to the current project. This estimate assumes that two projects are similar in terms of size and complexity. Even if there is a slight difference in terms of size and other technical aspects of the project, the budget can be adjusted accordingly, and a very safe estimate can be sought out by the project manager. This estimate will also take into account the incorrect estimates that may have been made for the other project that was similar to this one. This estimate is usually used by inexperienced managers, and the estimates are usually derived based on the reports that are available from the previous projects.

For example, if a manager has been granted the project of constructing a two-story building, he can look at a similar project that was undertaken by his company a couple of years ago. After taking into consideration inflation and other variance, he can come up with a project estimate. The project manager will also be able to see if the project was accurate during estimation or if there were adjustments that were required halfway through the project. This form of estimation is directly dependent on the accuracy of the reports that were filed for the previous project. If the previous project was way above the budget or below the budget, then it would be best for the project manager to stay away from this technique of estimation.

Parametric Estimate

Every project has a number of parameters that play a huge role in the cost, as well as the outcome. These parameters can be measurable in terms of size, as well as geographic location, and this is something that plays a role in the cost estimation. Any estimate that is derived by measuring parameters is called parametric estimate. In this estimate, the parameters are multiplied by the cost per unit, and an approximate cost is derived. Let's again look at the example of the construction of a building. The parameters will be similar when it comes to two projects of construction, and the project manager needs to look into the various parameters and see how the cost was estimated. For example, the geographic location of the two buildings would be looked into,

along with the weather conditions while the building was being constructed and the time available to complete the project. Once these data points are derived, the project manager can decide how much amount he needs to allocate for the completion of the project. Measurable factors, such as cost per square feet, along with the current real estate cost, will also be taken into consideration while coming up with the cost estimate.

Bottom-Up Estimate

This method of estimation is said to be extremely accurate, and it is also the most time-consuming. This is because the manager will need to find out the cost of all the things that will be required to complete all the schedules. This includes all sorts of expenses, such as labor cost, the cost of material, the machinery cost, and the cost of freelancers or even third-party vendors. In this estimate technique, the manager will then look at each of the items and bill for the items separately. Let's again take the example of construction of a building. In this scenario, the project manager will have to look at the cost for raw materials, along with the labor cost that will be needed in the construction. It will also involve the machinery cost that will be required in building construction and the permit cost that will be needed in order for the construction to commence. Once each of these estimates has come into the picture, the project manager will be able to give a bottom-up estimate to the stakeholders, and this estimate will be extremely accurate. A highly experienced project manager can find out the cost of each of the items in no time and come up with an estimate for the project on hand.

Activity-Based Estimate

Every project involves multiple activities, and each of these activities cost a certain amount of money. Activity-based estimate is the process of finding out the cost of each activity involved and coming up with a budget based on these activities. The project manager usually assigns an activity code for all the things that would be needed to be done, and the cost of each of these activity codes would be derived. Let us look at the example of the construction. There would be various activities, such as procuring raw material, laying the foundation for the building, preparing licenses and

permits, and other such activities. The project manager will then go ahead and assign costs to each of these activities and ensure that these costs would be as accurate as possible. This method of estimation also requires a lot of preparation from the project manager, and it will help him come up with the best possible cost-planning report.

Although cost planning is crucial to project management, there are many project managers that usually ignore this step because they feel that the reserve cash will take care of most of the needs that are involved with the project. It doesn't matter how much experience the project manager has; there will be various elements of the cost planning that will be tricky to handle. This could be in the form of hiring third-party vendors, ensuring that each of the laborers is paid appropriate amounts, and also each of the activities that need to be taken into consideration. If the project involves a lot of physical work, human capacity also has to be taken into consideration. Irrespective of the kind of work that has to be completed, the project manager has to ensure that the estimate is as close to the end goal as possible and all contingencies are taken into consideration. No matter what contingencies arrive, the project manager has to make sure that he or she communicates with his or her team and comes up with a plan that everyone is comfortable with.

Chapter 8: Project Quality Management Questions

While the project manager will be able to find out the project cost and the timelines are met, it is also crucial to ensure the deliverables' quality is also met. The requirements of the stakeholders need to be kept in mind while working on a project, and this is what a project manager needs to ensure. There cannot be too many mistakes while completing a project because this will drive away your client, and you will lose out on repeat business. A number of organizations usually sell their services based on the quality that they provide. "Quality" is a term that is used openly by everyone; however, not many are able to live up to the actual word. Meeting the quality requirements of a project is extremely crucial and a project manager holds the key to ensuring that the project is up to the mark. The project manager has to set cost-planning goals, and there will also be quality goals that the project manager needs to be set. The team members will need to achieve these quality goals to ensure the end product is as per the stakeholders' requirements.

Managing a project is all about managing customer satisfaction. When a customer is happy with the project, there is a very good chance that they will contact the company for another project, and this will ensure ongoing work for the people involved and ongoing income for the company. The project manager also needs to understand that not all requirements will be stated specifically by the client. There will also be a number of unstated requirements that need to be made by the project management team.

Some of the unstated requirements include not plagiarizing when it comes to writing articles and using non-toxic materials in the making of edible products. The project manager needs to understand what these products are and how they are meant to be delivered to the client. The product needs to meet the client requirements and also meet the quality standards that are set by the industry. If the client requirements have been met but the quality of the outcome is not as per expectations, there is a very good possibility that the client may pay you for the current project but will not contact you for future ones. This is why the stated and the implied requirements need to be met by the project manager.

To ensure the quality of the project, the project manager should take into

consideration each and every aspect of the project and needs to figure out what the defects could be and how these defects could be reduced. There are various ways of measuring quality when it comes to different kinds of projects, and the project manager needs to decide the steps that would be taken for measuring quality. There can be various quality parameters that can be finalized to ensure that the quality is up to the required standards.

Grading

There are certain products that are also graded as per the quality standards that are set by the International Organization for Standardization, or the ISO. As per the grading requirement, certain requirements need to be fulfilled, and the client needs to get the money's worth in order to call the product a top-quality product. There are various grades when it comes to you defining the quality of a product. Let's take the following as an example. When you go to a supermarket, you will see food items placed in different graded sections. While all these food items would be similar to each other, there would be certain factors that determine the grade.

For example, eggs would be graded based on the color and the size, while a fruit will be graded based on the color and the smell. Similarly, a project would be graded based on the outcome, the way the final product looks, and the expectations that were set by the stakeholder. While the stakeholder would have an idea of how they want the building to look, the project manager needs to make sure that the idea has to be converted into reality. The quality of the building would be based on the plan that was put to paper by the client and the final outcome that was delivered by the project manager. If the outcome is as it was described, then this would ensure that the client would keep coming back to the same company for future requirements. This is the reason certain construction companies across the world do better than the others. Similarly, certain writers are above others in terms of the quality of work that is delivered and the imagination that goes into the work.

Tools for Quality Planning

It goes without saying that quality is achieved only after planning a project properly rather than reacting to problems after being identified. The project manager needs to choose the standards and put processes in place to meet the standards. Some of the tools that are usually used in determining the standards can be seen below:

Client Requirements

The quality of a product can be decided by the client requirements that have been set during the initial meetings. Every client will always have certain expectations from the company concerning the product that they deliver, and these expectations have to be discussed between the project manager and the client. The project manager will have to understand what the client wants and in what manner it has to be achieved. A client will also expect heavy involvement in the project, and this will be something that the project manager will have to agree upon before starting off the project. Not every project manager likes interference with the work, and in such a scenario, the company will be able to inform the client of the project manager's apprehensions.

Project Surveys

If the client requirements have not been very specific, then the project manager can also choose to undertake surveys that will help them to come up with acceptable parameters for the product to be delivered. The project manager will be able to come up with the requirements of the project with the help of this survey. The project team can also move in the right direction with guidance from the survey outcomes.

Quality Planning Tools

A project manager can use various quality planning tools. These tools can be used by a project manager to stay in control of the quality and plan it to an extent where the stakeholder will be satisfied with the outcome. Here are a few tools that the project manager will be able to use to measure the project

quality:

Cost-Benefit

All activities that are put in place to measure the project quality will cost a little bit of money. The project manager will need to look at the benefit of conducting the activity against the cost that is involved in completing the project. It will be very easy to measure the cost of all the resources and activities that will be needed to conduct the tests. There will be certain projects where quality activities will not really be measurable, and in such a scenario, the project manager needs to ensure that the cost-benefit is looked into before insisting on quality measurement activities.

Benchmark

Another tool that can be used by project managers to control the quality of the product is benchmarking. Benchmarks are actually the previous standards that were set by the other projects, and project managers may want to match those standards. Benchmarks are usually used as reference points by project managers before starting work on their current projects. The planning of the project usually revolves around the benchmark, and this is a very effective way to ensure the quality of the project is met.

Technological Tools

A project manager also has certain tools to use when quality problems may arise. There are various check sheets and charts that a project manager can fall back on when quality has to be looked at. Check sheets are very important when it comes to figuring out whether all steps in a project have been completed and if they have met your expectations. A check sheet will also be able to determine which steps happened a lot and which are the ones that can be eliminated that will help the project progress faster. A check sheet can be used to create a histogram, which is a distribution chart that is based on the frequency of certain activities. A histogram looks at the activities that are conducted within a project and whether the check sheet has been looked into. In simple words, a histogram is the representation of the check sheet that

will give the viewers an analysis based on a single view rather than going through the entire check sheet and looking at various statistics.

Once the quality plan is in place, the project manager will need to come up with certain guidelines to ensure the project is progressing in the right direction. The strategy for monitoring the project quality and the employee quality will have to be defined, and the project manager will need to note this down. Once these have been put in a plan, the execution of the plan will be very easy, and the project will also be streamlined by the project manager.

Quality Assurance

Quality assurance usually takes place in order to show the stakeholders that the quality control and the quality plan are working effectively. Quality assurance looks at the original plan laid down by the project manager and ensures that the steps have been taken to ensure that the plan has been followed properly. A real-time comparison of the project progress and the quality plan is an excellent method to ensure that the project requirements are being met.

The quality assurance team will also observe the flowchart that the project management team is following and ensure that all the processes were followed accurately. In case there has been any deviation in the plan, then the quality assurance team will analyze the progress of the project and take corrective action whenever needed. This corrective action will also be used as an educational tool for the project management team to focus on the importance of the project quality. In case the analysis shows that the project has been progressing successfully, then the quality plan can also be revised at the stage.

In certain scenarios, sample products are collected and examined in a controlled environment to see whether it would meet the expectations of the stakeholders. These actions would need to be swift, and the quality assurance team also needs to ensure that the corrective actions can be implemented immediately. There would be certain projects that would be short-term and since the duration is not much, there will be little scope to make any sort of changes to the quality plan or to make any kind of changes with regard to the

processes of the project. In such situations, the project manager would need to take a call and see if the stakeholders need to be spoken to for an extension or if the project needs to continue with a slight deviation in the processes.

The quality assurance team would usually directly report to the client. Their job will be to reassure the client by showing them the work that has been completed. Then the client can decide whether to give the go-ahead to the work in progress or if they want certain changes that need to be done. Most project managers will have to be prepared for work revision, and they need to get these revisions out quicker than the actual work that was delivered.

Chapter 9: Project Resource Management

Questions

Resource Management

After planning the project and coming up with the cost requirements and the quality goals, next comes resource planning. This is an important project management process. Resource planning is nothing but having control over every activity of the project and ensuring that all tasks are completed and accounted for. Resource planning is important when it comes to giving a final deadline to the stakeholders and also to prepare a final schedule for your team members to follow. Let's take a classic example of a wedding. There are a number of activities that have to be conducted in order for the wedding day to be successful. While various tasks can be assigned to various family members, nothing is possible without planning the resources for the wedding. This means that every activity has to be broken down into resources. The person in charge of the invitations would also need to take into consideration the content for the invitation and also the guest list that needs to go out. The person in charge of catering should also take into consideration what food items have to be served at what time and how many guests have to be accounted for.

While activities will go on in any project, it is the resources that are extremely crucial, and this is what makes a project successful or unsuccessful. Resources could be anything from people, money, equipment, or anything else that will have to be planned in order for an activity to be completed. Every activity needs to have certain resources that are assigned to it. The project manager also has to locate resource availability and make sure that the schedules are prepared in advance in order for the team to effectively manage the project. Without effective resource planning, the project will never come together, and none of the team members will know what their exact role in the team is. Resource constraints are something that the project manager will have to take into consideration. The project manager will also

need to decide what kind of backup plans will have to be put in place in case certain resources are not available. Once a project manager analyzes the resources, he or she will be able to get the project completed on time and without too many hindrances.

Resource Estimation

Resource estimation is nothing but the activity to assign resources to various tasks. There are five major tools that a project manager can use in order to estimate the resources that are required for a project.

Alternative Analysis

Alternative analysis is used when more than one resource can be utilized in order to complete a certain task. In this scenario, the project manager would decide which resource can be utilized and how it can benefit the project in the best possible manner.

Experienced Judgment

A project manager will be able to use his or her expert judgment in order to allocate the best resources for the project. If a project manager is not able to decide on the resources or is not able to use his or her judgment, then hiring expert help can also be a solution.

Estimating Data from Published Work

A lot of project managers usually look at published work in order to find out the resources that are needed to complete certain projects. These published works can be from business magazines or other public data that has analyzed and collected data from various projects across the globe. This could also be books written by experts or articles and journals that are written by the best in the industry.

Using Software

Project managers can also use project management software in order to estimate the resources that are needed for a project. Ready software, such as Microsoft Project, can also help product managers decide the needs of a project and the constraints that come along with it.

Bottom-Up Estimation

Bottom-up estimation is an effective way of estimating the resources that are required for certain tasks. This method breaks down each of the activities into various tasks and resources. The bottom-up method of estimation is an extremely accurate method of estimation; however, it takes a lot of time to perform this estimation. If a project manager is not experienced with this method of estimation, then it's better to stay away and use one of the above-mentioned methods to estimate the resources that are needed.

Estimating Durations

Once resource estimation has been completed, the project manager will have to then look at the duration that is needed for each of the activities to be completed. The activity of duration estimation is a process that is conducted by almost all project managers, and this can be done only after resources have been allocated to each of the activities. The project manager would look at all the activities and come up with the scope and resources and then note down the duration to complete the activity. Most project managers would speak to their team members and then find the estimate based on discussions with the team members that are assigned to those activities. The duration of each activity would also depend on the resources that are allocated to that activity. Sometimes, certain resources are difficult to prepare, and this may result in an activity being delayed. It is better to estimate a longer duration while in the planning phase rather than changing the duration halfway through the project.

The project's team members also play an important role in duration

estimation. If the team members are experienced with similar projects in the past, then they will know the time required for the tasks that they are completing. Project managers will also need to ensure that they involve each of the team members because they would be the people responsible for completing these activities. Project managers can also use the analogous estimating technique, where they will look at similar activities that they have been conducted in the past and use that estimation in preparing the duration estimation for the current project.

Some managers even use the three-point estimation technique, where they come up with three different numbers that will represent three different estimates. The first number will be a very realistic estimate of the duration that an activity will take to complete. The second number will represent an optimistic number the project manager will look to achieve. The third number will usually be the worst-case scenario, and this will help keep the stakeholders informed in case there is something that goes really wrong. While the project manager will not be able to mention all three numbers in the project plan, he will usually come up with an average of three numbers and mention that in the final estimate.

The duration estimate can be in the form of hours or weeks or even days and months in some scenarios. The project manager will have to be confident while giving the duration estimates because this is what most of the activities would be based on. The effort that is made for the project will also need to be considered when determining the activity duration. The project manager will also understand more about the specific activities that will come up in the project while estimating the duration required for each. This will give him a clear idea of what the project involves and the tasks that need to be assigned to various team members. It's usually not very easy for a project manager to plan too many resources when there are restrictions hanging over his head. He usually needs to make the best of what he has in hand and complete all the activities within a certain time frame.

Resource Management

Resource management is the deployment of the resources of the organization as and when they are needed for the project. These resources could involve

anything from human skills, inventory, IT resources, and even financial resources. It is always best for the project manager to utilize developed resources that have been put in place for various other projects in the past. In this scenario, the project manager will need to also take care of cross-functional resource allocation because this is something that could delay a project because of a resource not being available. For example, if a certain employee within the organization has certain skills and those skills are needed for the project completion, the project manager should look at the availability of the employee in order for the project to be completed successfully. The employee would have other responsibilities within the organization, and the project manager will need to allocate a certain time within his daily schedule for the project on hand.

Planning Human Resources

Human resources are an important resource, and they help complete the project. The human resource team would bring in the main team that would help to work directly work on the project. The project manager or the stakeholders would usually provide the requirements to human resources, and they would go about hiring employees based on these requirements. Once the team members are in place, your organization can also choose to use one particular team member for multiple projects at any given point of time. This is called intelligent resource allocation, and it removes the need for third-party vendors or contract workers. However, hiring a particular employee just because they possess a certain skill does not make sense. In this scenario, hiring a freelancer or opting in for the services of a third-party vendor is the most logical solution.

Employee Appraisal

Once the project team is in place, the project manager would need to take care of the performance of the team by providing regular feedback in the form of appraisals. Employee feedback is usually provided based on the following performance parameters:

- quantity of output
- quality of output
- behavior at work
- attitude at work

Once the project manager collects all the data that is needed for these parameters, he or she will be able to conduct reviews with the employees and keep the following parameters in mind:

- Provide feedback to the employees during the appraisal session and inform them of their performance as compared to the goals.
- Provide feedback concerning areas where they can perform better.
- Take necessary action to ensure that the employees do not face any kind of problems.
- Reward the top performers and encourage continued excellence.

Managing Resources

Apart from allocating resources and providing feedback and monitoring the performance, the project manager will also have to manage the resources effectively. They will also have to ensure that the resources do not get utilized before the project has been completed. Every resource is usually limited in terms of quantity when it comes to materials, and it is limited to the person's threshold when it comes to human behavior. A project manager will need to keep these limitations in mind when utilizing resources for the project. Sometimes certain employees are given a larger workload. This usually results in employee burnout, and this affects their deliverables at work. While the project manager will need to take care of complete utilization of resources, they will also need to keep the constraints and the other parameters in mind while utilizing these resources.

Resource Leveling

Resource leveling is the method of examining any resources that have not been used in a balanced manner. This could be equipment used for a project or even people that are used for the project. When the project manager decides the activities for a project, he or she will also need to check tasks that are assigned to people within the team. When these tasks are assigned, the project manager will need to look at the specific requirements of a task and see if more people and equipment are needed. Having the same number of people for different tasks is not the solution because some may require limited resources while others may require more. The project manager will have to look at all the tasks in detail while creating a project plan. This means that the time for each task and the scope also has to be taken into consideration when allocating resources.

Resource leveling is the process of resolving all the conflicts that take place when resources are assigned to various tasks. As stated earlier, a few team members are involved in multiple tasks at once, and this is something that a project manager will need to consider when assigning tasks to the team members.

Understanding the Team

Once a project manager has been assigned a team and allocated resources according to the requirements, they will then need to look at the deliverables of the team members and understand each of their personalities and how goals need to be set with each of them.

Emotional Intelligence

Understanding the emotional intelligence of each of the team members will be critical for the project manager. People want their emotions to be valued, and leaders need to understand this requirement from the team members. When team members feel that their contributions are no longer valued, they will not work efficiently, and they will continue delaying work until appreciation is received. A project manager will not understand these delays until they understand their team members' emotional quotient.

The emotional intelligence of a person usually consists of the following components:

- self-regulation
- self-awareness
- relationship management
- empathy

It is extremely important for a project manager to keep this in mind in order to ensure that the energy levels in the team are constantly high. A high-performing team will usually be an emotionally intelligent team, and this is something a project manager should always keep in mind.

Understanding the Personality Types

Not all five fingers are the same, and this is something a project manager needs to understand about a team. There will be different personalities in every team, and a project manager needs to understand each of the personalities in order to treat each and every team member differently. Based on the personalities of the team members, they will be able to handle conflict differently and process information in a very different manner. It would be wrong on the part of the project manager to assume that each team member understands the requirements that have been laid out for the project if a common briefing has been held. By understanding each personality type, the team member will be able to explain the project requirements in a very effective manner to each of the team members.

Leadership Style

Every project manager would have a different leadership style, and the team members will have to adjust to this style in order to understand the work that has been assigned to them. The project manager needs to understand that certain alterations to the leadership style will be required based on the project requirements. There would be certain projects where a leader would need to be extremely aggressive and get work done out of the team members based on the timelines provided by the stakeholders. There will also be projects

where the team leader will be able to give certain leeway to the team members and allow them to take it easy because of the high pressure of what they are doing. Altering leadership styles and ensuring that the team will function efficiently are things that every project manager needs to aim for. While the approach of the leadership usually depends on the project on hand, there are times when a project manager will also need to change the leadership style based on the team members that have been allocated to them.

Sometimes the senior management may also make the decision to change the project manager, depending on the team members that have been picked for the project. While the project manager is extremely important, the senior management would need to take certain tough decisions when team members are not comfortable with the leadership style. This is something that project managers need to keep in mind. They have to alter their leadership styles based on the team members allocated to the project.

Leadership Skills

The project manager also needs to have certain skills in order to resolve conflicts within the team and also resolve conflicts that may come up in the project. The best way for a project manager to go about resolving issues is by having excellent communication skills. When the project slows down or any of the team members are not up to the mark, communication is what plays a key role in ensuring that the product manager gets on top of the problem and resolves it as soon as possible. In this scenario, the project manager will need to look at what has slowed down the project or what problems the team members are facing. If there is only one team member that is struggling with regard to the requirements of the project, then it would be wise for the project manager to replace that team member. If there are external factors that are affecting the progress of the project, then the project manager will need to look at these factors and speak to the stakeholders to resolve these factors.

Project managers require a lot of skills, and these include technical, organizational, and administrative. These skills are required to ensure that the project is completed successfully and the team members stay on track as far as the progress of the project is concerned. The communication skills of the project manager need to be the best. Active listening is another important skill that the product manager needs to have. With the right active listening

skills, the project manager will be able to listen to the problems the team members are facing and what can be done with regard to resolving these conflicts. The project manager also needs to look at the body language of the team members and find out what problems they are facing. Sometimes team members may not be that forthcoming when it comes to speaking about their problems, and their body language usually says a lot at this time. When project managers have excellent skills, they will be able to read the body language and resolve the problem before it gets out of hand.

Another skill that the project manager needs to have is negotiation skills. A project manager is constantly negotiating in terms of timelines and resources. These negotiations are usually with the stakeholders and their team members; however, the negotiations are usually done for the project betterment. There will be a number of discussions that happen between a project manager and stakeholder, and these discussions need to go in a streamlined manner in order for the project manager to get his way. Negotiations need to be logical in order to always represent the success of the project at hand. Asking for additional funds or asking for additional resources is something that a project manager will not get until the wants are justified.

Conflict Resolution

Conflicts will keep arising when a project is being executed; however, the project manager needs to ensure that the conflict does not get out of hand and the project does not get affected by this. Team members will always have personal differences with each other, and they may even have apprehensions with regard to doing certain tasks in the project. The project manager should also look at the limited resources in hand and handle the conflict that may occur while the project is being completed. Although project managers may take a lot of time in project planning and team building, these conflicts will still occur, and they need to deal with it in the best possible manner. A project manager can usually have five responses to any conflict. These include the following:

- avoidance
- collaboration
- forcing

- compromise
- accommodate

Irrespective of what approach the project manager uses, the conflict has to be resolved in the most amicable manner, and the team member needs to feel that their opinion was valued. This approach also depends on the personality type that the project manager is handling, and this is something that a project manager will need to handle efficiently. Things as simple as wanting the window desk in the office or wanting a longer lunch break are a few things that a project manager needs to handle daily.

Delegation of Responsibility

Another important skill that a project manager should have is to delegate responsibilities accordingly. A project will be successful only if all the team members work in harmony and they function as per the requirements of the project. A project manager will also have to understand the project requirements and delegate work as per the skills of the team members. Wanting to do all the work on their own is something that a project manager should never do. This is a mistake that project managers will usually regret, and it will also cause delays in the completion of the project.

The project manager also has to find the perfect balance between delegating too little work and delegating too much work. Delegation should always be dependent on the skill and the knowledge of the team member, as well as the time in hand that the project manager has. It should also be dependent on the criticality of the task because not every task can be performed by the team member, and there are certain tasks where a project manager needs to step up.

Building Trust

Project managers should take the first step when it comes to building the team members' trust because no work would happen until the team members start trusting the project manager and each other. Trust can be built in a number of ways; however, communicating openly and maintaining a transparent environment at work is one of the best ways to build trust. Team managers need their team members to trust each other because their work is

usually dependent on each other. Just like the mechanism of a watch where each of the parts is dependent on each other to function smoothly, similarly, a team will have to work together in order for the project to be completed successfully and on time.

Conducting Team Meetings

The team manager will also need to ensure that team meetings are conducted regularly in order to understand the requirements of the project and gauge the progress that has been made. One thing that the project manager needs to keep in mind is not conducting too many meetings. This is when the effectiveness of the meeting starts to diminish and team members will not take the meetings seriously anymore. While scheduling meetings are a great way to ensure that the team members are aware of the deliverables, there can be emergency meetings that are conducted based on the requirements of the project. The project manager should also be comfortable holding one-on-one talks with team members because this is something that will help build trust, and it will also help the project manager to gauge the personality of the team member.

Chapter 10: Project Communications Management

Questions

Communication is vital in order for the effective development and completion of a project. Communication management is about ensuring that everyone involved in the project is aware of what is happening with the project and the progress that is required to complete the project in the right way. Communication planning simply consists of a process that defines the various kind of information that has to be provided to the team and the stakeholders of the project. There has to be a specific format with regard to communication and information about the specific schedule and the project release along with its distribution. When it comes to communication, over 90 percent of the responsibility is handed over to the project manager. This is the most important aspect of the job of a project manager. Communication is important because it not only helps the project function smoothly, but it also ensures that there are no miscommunications or communication gaps that cause delays or confusion with the project.

In order for a project manager to effectively create a strong communication plan, it is necessary to figure out what method of communication is most effective for the stakeholders to make a decision as soon as possible and coordinate systematically with the project manager. The easier the mode of communication, the more effectively the manager will manage to take a decision, and this means you have to pick the right mode of communication. There will be a lot of information the project will include, and in order for you to not suffocate stakeholders with all the information, it is necessary to provide them with just as much information as required that will provide a summary of everything. This means that the communication should be valuable but not too lengthy for the stakeholders to get bored and not understand the kind of information that you're providing them with. It is also important that the communication is exciting because the project should be interesting for the stakeholders to get to know more about it. When it comes to communication with stakeholders, it can go two ways, and while it is always great to provide them with good news, you may need to be the bearer of bad news as well. Hence, you need to make sure when you provide

information to them, you will have to provide a lot of information so that you have not left out anything that may surprise them when you're giving them the news that they don't want to hear. This will also ensure they are well informed and they take the right decisions.

One of the most important things that a project manager has to take into consideration is communication technology because this has a huge impact on determining whether or not you are managing to keep all the people that are involved in the project in the loop and in a timely manner. The best part about technology is that you will be able to provide effective communication, irrespective of what part of the globe your stakeholder belongs to. This also involves making reports or arranging for meetings. There are tons of ways you can communicate with the people involved in the project, but it's always recommended to choose the technique that is user-friendly and swift. The faster the method of communication, the easier it is to pass on information to all the parties. When planning a project, it is important for you to understand that the mode of communication is vital. This is why it should be something that is available freely for everyone and compatible on multiple devices as well.

In case you are using relatively new technology, it would be for the benefit of the entire team as well as the stakeholders that you explain how the communication technique or method works and how they will be able to use it to effectively communicate as a team and function with whatever is happening in the project.

There could be various questions that may arise, and it is necessary to answer these questions in the communication plan in a neatly formatted document. In case there is something else you have to include or you are asked questions later on, you can edit the document with the answer, and all the answers will be cleared out for everyone.

Every project needs to have a strong communication plan, and all projects have the same communication technique to distribute information. While it is easy to share certain information on a mass level, there could be a certain kind of information that is considered to be confidential and has to be shared only with specific individuals. In this situation, it is always recommended to use a secure mode of communication for this information even if you are doing it virtually. It is also important to keep a record of the information that

is exchanged between various individuals in the project.

There are various methods of communication. This will usually include the project status, project scope details, the project scope updates, the project baseline information, the risk involved in a project, and the necessary actions that could be taken to control the risk, the milestones set up and achieved in a project from time to time, and the acceptance rate. All this information should be provided to the stakeholders because this will help to keep them informed at all times.

Types of Communication

Communication could get difficult when it is a large project that you are dealing with and there are various complex issues in a project that need to be completed tactfully and in an effective manner. The sooner the communication is done, the easier it is to derive results without any delay, and it also makes it a comfortable work environment. If all the team members work in the same physical location, then it is recommended to have regular meetings from time to time because this makes it a quick method to deal with and tackle all the problems and get answers to the questions as soon as possible. In case there are teams that are working away from the physical location, then communication comes in handy because it becomes easy to conduct a conference call for a group meeting on a virtual platform to address these issues. It is important to take into consideration the work timings in case you have hired overseas labor so that you do not delay providing them with information just because of the time lapse.

Synchronous Communication

A synchronous communication is a great way to communicate with all the members of the team at the same time, ensuring that they all get information provided to them and their questions are addressed in one go. This is an amazing technique to apply even if you have a large team, and in case all your team members are not available at one physical location, you can

definitely try a conference call using applications like Skype, which is easy to download on multiple platforms. Let's take a look at the examples of a synchronous communication.

Live Meetings

Live meetings may need to be conducted at the same location, and in case of your team members not being present, then this could be done with the existing team members just so that they know what's going on with them.

Conference Calls

Conference calls are easy, especially when people are away from the physical location, and it also works with the stakeholders who may not have the time to come and attend a physical meeting.

Audio Conference

An audio conference is a conference call that can be conducted over the phone or even over chat apps like Skype. This is best done when there are a limited number of people. When the count goes above a certain number, then the call may not be of great quality, and people may not manage to understand what is happening.

Computer-Assisted Conference

There are tons of applications that can help you have a conference document that is easily available for editing and viewing by multiple parties.

Instant Messaging

Smart mobile phones play a huge role in communication. Using instant messaging on the phone or even a computer application makes a lot of sense.

Texting

The age-old technique of sending an SMS to a person to let them know when and why a certain meeting is conducted is always effective.

If you have assembled a team from different parts of the world, then it is important for you to understand their work timings because of the different time zones that they belong to. While the USA and Europe have daylight saving time, the rest of the world does not follow this technique, and it's important to understand which zone they fall in before you schedule a meeting or a conference call. Some time zones can be very different. By the time they wake up, it would be midnight in your country, so you may have to sort out a call at a time that is not too inconvenient for either of you. The best way to figure out the difference between time zones is for them to send you their time zone, and you can then use a converter to check when they are available or when they will be asleep.

Asynchronous Communications

When you have a large virtual team working with you spread out across various time zones, it could be a challenge for you to get the entire team together in one go, and in such situations, you may want to consider an asynchronous communication method. This helps you break down the various kinds of tasks that are required, and you schedule meetings according to the members who are in charge of particular tasks. You then assign one particular member you need to speak to that lives in a similar time zone and who can handle the communications with their teammates. Every project has a team of certain members working, and those teams are divided into members working on various tasks that they have been given. While you may not be able to have effective communication with all the members, you can definitely choose to communicate all your information to one team member and ask them to communicate the information to the rest of the team.

To ensure that everyone has received the information, you can then schedule an email and ask them to reply, stating their thoughts on the minutes of the meeting or the various things that were discussed in the meeting.

Journal or Blog

It is important for a project manager to keep track of all the information of the team members as well as the stakeholders from time to time. It may be difficult to keep track of all the information that is discussed in a regular manner, and the best way to do this is to maintain a journal or a blog where brief notes are taken for the project manager to go back and forth with. This will consist of various kinds of information that can help the project manager to take decisions in a timely manner and enhance the quality of the project at the end of the day. It is important to have complete knowledge of the project, and this is only going to happen when all the members of the team are communicating effectively.

Really Simple Syndication (RSS)

Some projects could be affected directly by factors, and this could include scientific breakthroughs, weather, or even political elections. The best way to keep track of all this is to get the news feed from certain websites, and all the information is provided to you regularly. The RSS is something that will help you to stay updated with news that is related to your project, and it can help you take the right decision at the right time.

Assessing New Communication Technologies

There are so many different techniques to communicate with the team members that it could get confusing. A smart way to ensure that you choose an effective communication technique without any delays is to make sure that you choose one that is not very complex in nature and does not cost a lot of money. Some tools are available for free, and it is highly recommended that you experiment with free communication tools before you think about investing in something that cost money. These tools are actually quite effective, and they work well with communication, not only locally but internationally as well.

When you choose a new communication technology, you may want to ask yourself the following questions:

- Does the communication platform make it easy for everyone available on the project to discuss effectively, save cost and time, and ensure that there are no mistakes on the project?
- Is it easy for the entire team to understand how to learn and communicate on the platform effectively?
- Does it come with a help desk or support in case it is difficult to cope with this new platform?
- In case it's a little complex but is required for the project, is it going to be good for the team members, and will it cost money?
- Does the project approval or the budget include this communication technology?

Communication Plan Template

When you are creating an effective communication plan, you need to make sure that you cover up all the ends. Here are a few things that you should definitely include:

- To whom is the communication plan addressed? The stakeholders.
- What expectations do they have from this project?
- What are the necessary steps taken to communicate with stakeholders and meet all their expectations?
- Ensure that they are provided with the right kind of information.
- Figure out the most effective time to communicate with the team and the frequency of communication.
- How will these messages be communicated to the stakeholder?
- Identify who will handle communications in case you will not manage to do it.
- Create documents for communication in order to maintain transparency.

Chapter 11: Project Risk Management Questions

There is no project in the world that can be completed without any risk, and while every project manager will try as hard as possible to limit the risks involved in the project, there are situations that are unavoidable. In such situations, all one can do is learn how to effectively deal with the risks and learn how to minimize the effect on the project. Some situations could also lead to a few team members wanting to quit and to no longer be part of a project. Some would like to quit when they are unable to handle the timings. These are certain things that are renewable, and no matter how hard you try, these situations do come up from time to time.

Uncertain situation occurs without any prior notice; however, not all risks are negative risks. Some of the risks happen to be highly positive, and it is these kinds of risks that could include a benefit for you because of certain changes in the project plan. Market value may fluctuate from time to time. Sometimes, you may end up getting the resources you need to purchase at a lower price because they are available at a discounted price, and this would benefit the project tremendously. Although this may be considered as an opportunity, it is still referred to as a risk when it comes to project management, and dealing with the situation will still need to be done just as you would a normal risk.

No project comes with a guaranteed success rate of 100 percent, which means that even something as simple as transporting items from the warehouse to the showroom would involve risk. Situations such as traffic, the breakdown of the vehicle, or even something as major as an accident are possible risks that could take place. As a project manager, it is your responsibility to learn how to deal with them effectively.

Avoid

The best possible situation is to learn how to avoid it in the first place. While this may not be possible with every risk associated with the project, for the ones that can be, it should be avoided. Let's take as an example the transportation of fragile items from one place to another. In order to avoid the

risk of any damage to the item, it is the responsibility of the project manager to learn how to invest in good quality to ensure that the item is well guarded. This could include researching the best padding or even bubble wrap that can keep the items safe.

Mitigate

In some situations, it is impossible to avoid risks, and if you cannot avoid risks, then you need to learn how to mitigate them effectively. Mitigating mainly means to learn how to run the project by not letting certain circumstances affect you or damage the project. Let's take the example of a team member quitting the team halfway. While this may not be an ideal scenario, learn how to make it through this, and it could involve dividing responsibilities among the existing team members or handling them yourself. You can also consider hiring a new person to complete the task, but you also have to take into consideration the amount of time you will require in order to find a replacement for the existing position. Compare the circumstances and decide what will work better for the project.

Transfer

Some risks are transferred so that they will be dealt with effectively. Let's say you are looking for a particular item to purchase in the market but you cannot get your hands on the existing vendor. You can always transfer these requirements to a new vendor and get going with the project.

Accept

There are some situations that you can't avoid, transfer, or mitigate. In such cases, all you can do is accept the risk and move on. This could usually involve a delay in the deadline or certain alterations that need to be made in order for the project to get completed without affecting the end result.

However, that is something that may be difficult for an untrained project manager to decide. With the right certification and understanding of project management, it will be completed in the right way.

While a project manager is usually aware of the different kinds of risks associated with the project, they don't see the risk, and once it actually occurs, the project will be in a lot of trouble. You need to learn how to deal with it actively rather than look for a solution to get out of the situation. The more effectively you plan a project, the less likely it is that the risk will affect you.

Risk management planning is something that will enable you to handle the risk associated with your project, and it will also show how well you know how to assess the risk. It will also help you identify the people responsible for creating the risk and figure out how to get over it in the least possible time. When it comes to project management, time is always of the essence. This is why dealing with it as soon as possible with the best solutions at hand is something that project managers need to master.

As a project manager, the smartest thing that you can do is to come up with effective guidelines that not only help you identify the biggest potential risks in a project but also identify how much it will affect the project in case you come across the risk. The best way to determine the risk gravity on a project would be to classify it on a scale of 1 to 10, 1 being a minimum risk while 10 being an extremely serious condition. Identifying your risk will not only help you to act upon it with urgency but will also ensure that you manage to deal with it with a calm mind. Not knowing about risk is going to take you by surprise, and more than anything, you will start panicking about how you are going to overcome the situation. However, a smart project manager will learn how to keep the nerves calm even in this situation and continue looking for a solution.

Risk Management Process

In order to effectively manage a risk associated with a project, you need to come up with a process that helps assess and understand the risks, decide on a strategy when necessary, and learn which risks can have a higher impact on

the project and which do not affect your project as much. It's not possible to always eliminate the negative effects of risks, but it is definitely possible to minimize the impact of these risks so that the project will still go on smoothly with smart and tactical decisions. One of the most important things you need to remember is that you have to brainstorm possible things that could go wrong in a project that you have. In case you can't come up with a list that is long enough, you can definitely cross-check with your team, asking them for their input as well.

Risk Identification

The identification of the risk is essential because this process will not only help you to identify the various potential risks associated with the project but also evaluate them based on their seriousness and decide whether or not you need a backup plan for certain risks that are on the list. A lot of project managers believe that they do not need a backup plan and the one they have is foolproof. The truth is that no plan in the world is foolproof, and even sometimes with a backup plan, you could end up with more complications. You believe that your backup plan would work, but it didn't, and it backfired. The more experience you gain with project management, the more you understand the importance of identifying the various kinds of risk and the sources of ideas that will help you to learn how to deal with the potential risk for a project and come up with solutions for it as soon as possible. When you are identifying risks, it is important for you to categorize them into various potential risk categories. Here are the important categories that you should focus on:

- technical
- budget-related
- schedule-related
- client-related
- team-related
- climate-related

- political
- law-related

Once the risks have been broken down into the various categories, you can then decide how you want to come up with solutions for these different risks that you have noted down. It's always good to have a chart of the various risks that could take place with the project and list down the solutions by its side because this will help you to save a lot of time.

Risk Evaluation

After identifying the potential risk related to a project, the project manager and the team need to evaluate based on how probable they actually are. While some risks may be highly probable, there are others that may not be so probable and are less likely to occur. Apart from being able to mark the severity of a risk, it is also necessary to know how common certain risks are and come up with more effective solutions to deal with these risks. As a smart project manager, it makes a lot of sense to ask the entire project team to come up with the probable risks they believe, irrespective of their departments, as this will help to ensure that nothing goes wrong. You can also come up with various solutions or backup plans for the risks that seem to be popular.

Once you have taken into consideration the possible risks, it is also essential to understand the additional costs that will be required to deal with these risk problems and to balance these costs without going over the budget. A smart thing to do would be to always increase the budget by about 5 percent to ensure it's a detailed budget and nothing will suddenly create chaos with the plan. If you manage to identify various risks, it will be a lot easier for you to reduce the negative impact of these risks on the project, causing the project to go on smoothly.

Risk Mitigation

After the identification of risk and figuring out the evaluation of the risk, it is

important for you to act upon the risk by using mitigation solutions in order to deal with the risk. Unexpected risks can affect the overall functionality of the project, and in order to reduce problems that a risk could cause, it is best to learn how to mitigate the risk in multiple ways. Some of the most effective ways to deal with a risk would include the following:

- avoiding the risk
- sharing the risk
- reducing the risk
- transferring the risk

These mitigation methods are known to be very effective when it comes to reducing not only the individual risk of a project but also multiple risks that could crop up on a project at any given point of time. A mitigation plan is something that helps not only to understand how to deal with the risk but also to eliminate or avoid a risk effectively.

Risk Avoidance

Avoiding a risk may not necessarily mean planning how to deal with it in the most effective way. It also means coming up with an alternative strategy that could have a higher success rate in comparison to the one that already exists. Earlier we took the example of transporting goods from one place to another. You may have reduced the risk of the package getting damaged during transport; however, you also need to consider the probable risk that could be involved with the vehicle during the transport. A smart way to learn how to deal with reducing risks would be to choose vendors who are better and have a high success rate of transferring items from one place to another. It also makes more sense to choose transport hours that do not involve heavy traffic so that the items are not delayed and they reach the place on time. Overloading is also an important thing that risk management teams need to make sure they avoid. When a truck is overloaded with items, it is highly risky to be transported, and it could create more problems. Arranging items in the vehicle should be something that you take into consideration. It plays a significant role in determining how the items will reach the place.

Risk Sharing

Risk sharing simply means to partner with a number of other people to help take responsibility for their activities that may seem to be risky. It always makes more sense to partner with a local authority rather than an international one because it is easier to deal with them. Also, you may not be familiar with all the legal decisions in a foreign country.

Risk Reduction

Risk reduction is a technique that ensures the project is completed on time even with the risk involved. This money that is funded can be used in case something goes wrong because of the fluctuation of currency or even the value of products in the market. Project managers can choose to then use this excess cash and reduce the damage caused by risk because of the budget constraints, making it easy to deal with the project without delay. There are some high-risk activities that need to be handled tactfully. A project manager can help tackle these activities by not only predicting the problem but also coming up with solutions that can help cut down the amount of time required in the situation when the risk actually takes place.

Risk Transfer

A transfer helps to transfer the risk to a third party when something wrong occurs with the project. This basically involves insurance of any kind, and when we talk about insurance, it's not only insurance for the project but also insurance for the location where the project is being carried out, along with vehicle insurance for all the vehicles that are involved in the transportation of items from one place to another. This also includes integration of the number of the projects because in case something goes wrong, it becomes a lot easier to deal with the situation. The transfer also takes into consideration strikes or political issues that may create chaos with the project. Figuring out risk transfer solutions in such situations helps to deal with the current problem at

hand, and you also learn how to move ahead and not let these problems affect you long-term.

Contingency Plan

When you come with a project risk plan, not only does it help to balance out the total investment that is made for the project, but it also helps to come up with an effective solution that benefits the project in the long run. It also ensures that all the members that are participating in the project know how to deal with various situations and have alternative methods of completing the task at hand even when there is a risk involved. They tend to stay focused on the goal of how to deal with a situation even if they get frustrated. A contingency plan simply means that even though with all risks involved, one needs to go on and continue with the plan to make sure that the end goal is achieved.

Contingency plans usually come with contingency funds that are kept aside in case the project team comes across certain situations that they cannot deal with unless there is an increase in the budget. These funds are always kept aside for high-risk projects or something that may go wrong with a particular area of a project. It is necessary to have the funds ready because this not only makes it easier for the project to continue irrespective of the budget but also ensures that in case something goes wrong, this fund helps the development of the project without delay.

While not all project managers focus on a contingency budget, it is definitely better to have a separate contingency budget for every team that is associated with the project because this just makes it easier for the teams to focus on getting the job done with an effective business plan. It also helps to come up with cognitive solutions to deal with risks you may face from time to time. However, in order for the contingency fund to be used, it is necessary for the teams to consult with the project manager and assure them that these funds will be used in the right way.

Project Risk by Phases

There are various phases that you need to consider when talking about the risk involved with the project.

Initiation

There are things at the initiation of a project that are unknown. This is known as initiation-phase risk. Businesses are usually considered to be easier to deal with because there is not much work that has been completed, and making modifications and changes to the project at this time is relatively easier to do in comparison to making changes with a project at a later stage.

Planning Phase

After the approval, the stage of planning can be identified based on the activities that have to be taken up for the completion of the project. Businesses also need to be analyzed, and a complete list of all the risks have to be noted down in order to determine the severity and the solution of the risk.

Implementation Phase

The implementation actually starts here, and there could still be risks that need to be handled. However, the risks involved with the project would be considerably reduced because most of the things that have to be done are already done. It is important for you to take on the possibility that can no longer be handled by others and focus on getting the project completed in a timely manner. In this situation, the contingency budget should be finalized, and the resources need to be procured. If there is a contingency fund that is still remaining, it has to be returned to the organization, and it can be used for various purposes. The contingency budget of a business project is not released unless the project team approves the releasing of the contingency fund after a risk evaluation is conducted. While the risk is greatly reduced at this stage, there are still possibilities that certain risks can occur, and the contingency budget will need to be released to recover the budget. Therefore, planning in advance is necessary.

Closeout Phase

The closeout phase is when all the agreements for the sharing and transfer of risks have to be finalized in order to avoid or mitigate the various risks. The project creation phase has to be neatly documented. This document will have a list of the various damages that the risks caused and the solutions that helped take care of the risk.

Chapter 12: Project Procurement Management

Questions

Procurement management is something that needs to follow a strong logical order. It begins with creating a contract and then deciding how to plan the contract accordingly, following the steps necessary in order to complete the project. The contract is then sent to various people who would be interested in purchasing the contract and decide whether or not they would want to take up the project. There are different ways that you can get in touch with someone who may be interested in the contract. It could either be a straight contact or an update where you need to follow up. Once the contract is ready and it has been followed up, all the paperwork has to be completed for the contract and implemented effectively.

It begins with a detailed plan for the complete project, and it needs to take into consideration the various purchases or acquisitions that will be needed to get it up and running. One also needs to take into consideration closing any existing contracts in case they would create complications with the current project. There are various kinds of contracts that you can design for the project, but it is always your decision to decide what kind of contract you would like to choose when it comes to offering the project.

Contract planning is very important. There have to be different contracts for every individual associated with the project and how they will manage the project. It also needs to have details of various functions, such as finances, the administrators, and all sorts of information, including the kind of work that will be taking place. Procurement management is a detailed plan of the various procurement processes and the methods of how they will be managed. It should include various information in details such as the following:

- the kind of contract that would benefit the project
- any technique or metric that will be used to assess the performance of the team involved in the project or any contractor involved in the project

- an estimated delivery date for the project or the time frame with regard to the scheduling of various tasks and the project that is in question
- documents that the company deems necessary
- the vendors that will be in constant contact and how they will manage their contract individually
- the various constraints with regard to budget or the time that could affect the end result of the project
- the coordination for the project, along with a development schedule
- understanding pre-qualified sellers in case there are any

The procurement management plan is a part of the complete project management plan and comprises of certain tools that can be used for the procurement planning stage. Here are a few tips to understand whether the project will be a make-or-buy analysis or a contract-type project.

Make-or-Buy Analysis

A make-or-buy analysis is a technique to figure out whether or not you should contact somebody else or get it done on your own. It is a huge decision to take because the new team may not be able to handle such a lot of work, or you may not be able to put together a team because of certain requirements of the seller. It is necessary for you to identify what method will work out and whether it will be easy to contract the project to somebody else or whether it will be more convenient and cost-effective for you to get it done on your own. You also need to take into consideration the commitment that you have made to the sellers and provide them with a solution that you have promised to provide.

Some people do not like to outsource work to other parties, and they will need you to sign a contract stating that you will be handling the job on your own. If you sign such a contract, then you are bound by law to follow the instructions and ensure that you live up to your end. When taking a project, you need to understand a lot of the requirements prior to deciding whether

you would want to take up the project. You need to understand whether your decision to utilize your own team will benefit the project in any way or hamper the progress. You also need to look at the project scope and thus schedule resources available in hand. There may be certain portions that need to be contracted to a third party that you get in touch with through the stakeholders and discuss this prior to doing it. In most cases, you must agree and then decide what part of the contract you take up and how much budget you will have to set aside in order to get it done. You will also have to be reasonable with your decisions, ration the resources available in your hand—how much you can invest and how much you will have to outsource in order for the project to move on smoothly.

Contract Type

A contract-type project seems to be an effective way to work because there is not a lot that you need to deal with when you take up this kind of project. This is because majority of the work you have can usually be outsourced to third parties. This is something that works really well for people who are just starting and do not have too many resources in hand. If you want to take up only contract-type projects, then you will have to ensure that you tie up with the right vendors and other people that will help get the job done properly without hampering the budget too much. It is necessary for you to understand the costs involved and figure out the most cost-effective way of running the project without compromising on the quality. You also need to remember that when it is a contract-type project, a lot of the profit has to be shared with the contractor that you have hired.

Fixed-Price Contract

Fixed-price contracts are contracts that are drawn up between two parties ideally between the organization and the person who will be handling the project on behalf of the organization at a certain price. Fixed-rate price is when both parties have decided mutually at a particular amount that will be spent on various parts of the project. This contract will also include various

minute details, such as the product quality or the quality of services that will be part of the project and a number of vendors who provide the services and their costs. Fixed-price contracts have a very predictable cost because all the items on the contract are broken down into small portions and the costs are transparent. The contractor is solely responsible for handling every little requirement of the project and ensuring that it goes on smoothly with a project team, who will work on the project in a timely manner to deliver good-quality results.

There are some risks associated with a fixed-price contract, and one of the major risks is the fact that there could be slight changes in the project because of the availability of certain products or services. In most cases, the contractor will get in touch with the project manager and request for a change in the budget so that they can deal with the current requirements or a modification in the project to work with the available money. A fixed-price contract usually ends up with a higher estimate at the end of the contract because the cost risk is always a little higher and they tend to add contingencies to cover up any risk involved.

Fixed-price contracts always need to have at least two suppliers, if not more, who understand the requirements of the project so they can ensure that it is executed as per the requirements. Most requirements in the project scope will remain the same, and this scope is very necessary because based on the information that is provided in the scope, the entire project will come together. It is also important to create a list of people who will work toward drafting the contract price.

If the service provider takes up the responsibility to handle all the project, which includes the profit at a certain price, then it is considered to be a total fixed-price contract. If the contractor takes into consideration the various expenses, including risks and increased labor or fluctuations in prices of materials, then it is known to be a fixed-price contract with price adjustment.

This sort of contract is usually something that is used when a project is going to last long-term and spread across months or even years. When a project is a long-term project, then the price adjustment is usually considered if there is inflation in a certain price of a service or a product that is required for the continuous development of the project. This could also take into consideration the level of service that is provided or the fluctuation in the

currency if there are employees that belong to different countries involved in the project. If the project involves a lot of road travel, then the price of the fuel also has to be taken into consideration because this is one cost that constantly fluctuates. In such situation, the client usually considers the oil fluctuation as a major expense and adds a contingency clause where the price of the oil will always be taken into consideration and will be adjusted based on the market rate.

A fixed-price contract with an incentive fee is another sort of contract that can be drawn up. This means that the client will choose to provide an incentive if the project performs exceedingly well, and there will be an incentive apart from the actual price of the contract, which is a fixed price and has been decided upon. This can also include forgetting the task completed beforehand on a milestone basis, and in such situations, contracts can also include a penalty clause in case of any delays, where a project milestone is not achieved by the desired date. This sort of contract is done where software development is taken into consideration because software development happens to be a large project that comes with a lot of stressful deadlines and the developers need to be constantly motivated to get the job done as soon as possible.

In case it depends on unit-based items or services, it can also be a fixed-unit price contract. This means that the project team needs to take a decision on a certain number of products or services that you will need to design, and these units will then be created at a certain price that was decided. This contract does not change, and neither does the project exceed the budget.

Cost-Reimbursable Contracts

A cost-reimbursement contract is a contract where an organization decides to pay the contractor a certain amount of money for a particular service or good that they provide. This sort of contract is a kind of contract that pretty much guarantees regular work to contractors from time to time as long as they perform well and their services or products start to increase in demand. Cost-reimbursement contract is a great way to begin projects for a new business startup where they do not have a lot of money to create a large demand for a product. The problem with this sort of contract is that the person signing the

contract will not really be motivated since they are unsure whether there will be another demand for this sort of project and whether they will get to do more work from this client even if they do good-quality work.

Cost-reimbursable contracts may seem to be the most effective with the least risk that a client can come up with, but as a contractor, one of the best ways to ensure that the project provides the contractor something to look forward to is to document the cost of every little service that is required for the completion of the project. You should also include all sorts of information for the organization to feel safe while choosing the services of the contractor to complete the project at the right time. You also need to make sure that the contractor feels motivated to work, and there should be good compensation.

A Cost-Reimbursable Contract with a Fixed Fee

A cost-reimbursable contract with a fixed-fee contractor will be provided with a certain amount of money from the profit that is decided at the start of the contract. The amount does not change.

A Cost-Reimbursable Contract with a Percentage Fee

In such a scenario, the contractor pays for the complete work that they have done for the project, and they are given a small fee at the sale of each product or service.

A Cost-Reimbursable Contract with an Incentive Fee

This contract actually works well when it comes to motivating contractors to get the job done effectively and when they are short on time. In this sort of contract, the contract has to be lucrative because it usually occurs when the

project cost is not that high and they still want the contractor to be highly motivated while working.

A Cost-Reimbursable Contract with Awards

This is one of the most interesting ways to keep a contractor because it can provide them with a certain amount of money for the project, plus an additional fee depending on the quality of the project upon completion. This is based on the various goals and objectives that are set up by the client, and this is also decided based on the performance. The client is in complete control with regard to charging the sort of performance of the contractor to keep the spirits high and motivate them to do well and deliver best-quality project results.

With small projects that may be uncertain, you can hire someone at an hourly rate and pay only for the hours they clock in. This includes the cost of the various materials required. This helps to cut down a lot of unnecessary expenses and also helps the contractors to work in a timely manner and deliver results effectively.

Progress Payments and Change Management

There are a number of payments that need to be made during the course of the contract to various vendors and suppliers. When a contract lasts for several months, it is important to make sure that these contractors are paid on time because if not, they will then accumulate a substantial amount of money that will have to be cleared out before the project is completed. It makes a lot of sense to try to clear out payments in a regular fashion rather than waiting till the end of the project, which means taking out a lot of money by the time the project ends. This usually does not work out, and you need to pay out small amounts to ease your burden at the end of the project. These payments that are made during the course of the project are referred to as progress payments, and they need to be sorted out when the contract is created. While there will be a number of payments that will be made project-based, there

will be one final payment that has to be made once the project is completed and has been accepted from the client. Whether the project is a small project or a significantly large one, the project can be broken down into various payments or as decided with the vendor and the supplier. In order for the vendor or the supplier to continuously provide good-quality products and services, it is always better to continue to pay them at regular intervals rather than waiting till the end of the project when they lose interest and motivation to provide the supplies. When defining the scope of the project, it is highly recommended to include these costs at regular intervals to make sure that they are paid. The kind of contract that is documented plays a huge role in the success of the project, which is what one should pay a lot of attention to. One should make sure that important notes are taken during this project and every information is placed correctly and in a detailed manner.

Similar to the requirements of the scope of a project, the vendors and suppliers also need to become part of the scope of work. This will include the various kinds of products or services they provide. Also, the money factor and the changes that need to be made for the smooth functioning of the project also need to be taken into consideration. It is important to capture all these changes as early as possible because documenting even the minor changes in a contract will help to create a positive impact on the overall project. Avoiding minor details may seem to be a smart decision to make sometimes; however, this could end up in a conflict between the team members or the vendor, which is not a healthy way to continue working on a project. Also, it could have a negative effect and potentially put the development and the quality of the project at risk.

Procurement Process

A procurement cycle is usually the different activities that need to happen in a project from the start till the project is completed successfully. This includes keeping note of the smallest expenses in terms of services and products and ensuring that all bills and payments are made as per the contract.

A Procurement Plan

Once a project manager has decided that there need to be certain investments for the good of the product or even services that need to be outsourced, the procurement team then needs to come up with a plan that includes certain details.

- the appropriate relationship and the contact person for each product or outsourced service
- preparation or a request for quotes for all these services and a proposal that can help evaluate which service is more affordable and which product is of better quality
- evaluation of the various quotes and proposals
- keeping a clear tab on the quality of performance and time taken to deliver results
- constantly keeping a tab on the contract and changing even the slightest detail that needs modification
- closing contracts in a timely manner

Certain projects are small and simple, and they do not require too much planning or contract farming; however, a complex project will required detailed information, and this could take a lot of time to complete. While it may seem like a tedious task, it is something that should definitely be done because not only will it help the project stay on track, but it will exclude any complications at a later stage. The time that may be required for a procurement cycle will influence the eventual scheduling of the project and the delivery date, so a project should always be designed, keeping in mind the procurement. This is why it is essential for the success of a project. If a procurement activity may result in a delay of a certain task in a project, it is important to pay critical attention and ensure that it is brought to the notice of everyone involved to avoid any further delays and to ensure that the project gets back on track almost instantly.

Soliciting Bids

Sometimes projects need to be acquired by placing a bid, and in such situation, a solicitation may be appropriate. The process involves requesting a price and gathering information to decide which deals make the most sense. The solicitation can take place in the form of a quote or a proposal and, based on that partnerships, are then pursued. These decisions are usually handled by the senior management, and it's something that sometimes a product manager could decide, but it will still require the consent of the senior-most or the topmost management involved in the project.

Qualifying Bidders

When two bidders within the project decide to join hands in order to assist with the materials or in the form of a certain kind of work that can help to get the project on track, it is important to analyze to decide which bidder can prove to be most profitable. As a project manager, you may need to maintain a detailed list of all the services and supplies that various bidders can offer and combine all this information to check and compare which bidder has the strongest bid. A bid is not necessarily decided on the basis of the amount of money they are offering; it also carries a lot of weight in terms of the services or products that they bring along with them. You should have your own list of eligible criteria for this bidder to compare with and then try to get as close as possible to your requirement. Not only will that help you to choose the best bidder among them, but it will cut down on a lot of time that you would have had to invest if you did not have a list ready.

A smart way to play the game would also be to set certain eligibility criteria for the bidder. This not only will help you to automatically eliminate anybody who does not fit into the eligibility criteria for the financial stability level you are looking for, but it will help you to narrow down your selection right from the start. There are various other specifications that you should keep into mind, and quality should be number one on your list. You should also check to see how flexible the bidder is in terms of managing to extend the resources in case there are some additional requirements that need to be addressed.

Request for Quote

In a request for quote kind of contract, the focus is on the price. In such a scenario, the bidder will have to focus on making sure that they meet the required quote and understand the various deliverables in the form of services and material required. They will have to try to obtain all that within a certain budget and make sure that it is of quality. The focus is also on the kind of deal, and a bidder usually wins this sort of a contract by offering the lowest price.

Request for Proposal

In a request for proposal, the contract is handed over to the most expensive bidder based on the kind of project quality and requirements that they suggest. The proposal doesn't necessarily go to the highest bidder, but it goes to the one who manages to provide the most impressive proposal.

Evaluating Bids

The evaluation of a bid depends on whether the bid was in the form of a quote or a proposal. If it was in the form of a quote, then the lowest bidder is usually considered for the contract. However, if it was in the form of a proposal, then various aspects are taken into consideration, including the kind of services and goods that will be used, the delivery costs, shipping, warranty, or any additional services that could add a lot of value to the project and help the project run smoothly.

Evaluation of bids is a lengthy process, but as stated above, it can be eliminated if there are restrictions made and certain criteria that should be met. After carefully evaluating, the project manager can then decide to award the contract to the most effective bidder that managed to meet not only the price but also the various requirements and kept in mind the quality that has to be delivered.

Chapter 13: Project Stakeholder Management

Questions

A project is considered to be a successful project once it manages to achieve all the listed objectives or it exceeds the expectation of the various stakeholders involved in the project. We have spoken about stakeholders right from the start of the book, and it's now time for you to understand who the stakeholders are and how you can identify them. The stakeholders are referred to as the individuals who are invested in your project, either through finances or because of an interest. These are the people who are actively involved in the progress of the project and need information regularly. The reason they need information regularly is that they have a lot to gain or lose, which is dependent on the result of the project. There are various activities that need to be handled in order to manage a project consistently, and depending on the outcome of this project, the stakeholder could be affected in a negative or positive manner. When the project is completed successfully, the stakeholder gains a lot of profit out of it, which is why they need to make sure that they are stringent with their policies and they keep a constant check on what's going on. As a project manager, you need to ensure you provide all the information to the stakeholders whenever they request for it.

A project sponsor, on the other hand, is somebody who has invested money but may not be actively involved in the decision-making of the various tasks of the project. The stakeholders, on the other hand, are a little more authoritative. Because they have invested money, they have various authorities that they like to apply on the project. For every project, the stakeholder differs, and in some situations, a stakeholder could be the supplier, the government, a subcontractor, or the customer. In order for the project to go on smoothly, it is the responsibility of the project manager to identify the stakeholder and give them the importance that is required. Apart from the direct stakeholders, project members are also considered stakeholders in the organization, and they have certain rules that they need you to take care of effectively. When a stakeholder from a particular department is involved in the function and it is not carried out effectively, this could result in a minor or major error that may come to light at a later

stage and could potentially destroy the project.

Project Stakeholders

Top Management

The top management stakeholders include highly effective stakeholders, such as the director, the founders, the business owners, the operating community, the vice president, and the president. These are usually the people who have come up with a direct idea or strategy for the development of the project and the organization. As a project manager, you need to understand that these are the people who are in your constant support because they need the project to be carried out effectively, and they will look to hire the best vendors, suppliers, and staff for the smooth functioning of the project. When it comes to acquiring good-quality material and resources and services, it is highly recommended to get in touch with this area of stakeholders because the reputation of the company is at stake here, and they will not compromise on quality. If you please these stakeholders, you will have a lot of weight added to your résumé. If you disappoint them, it could go down south very fast because these top management stakeholders are not as patient and considerate with mistakes as the rest of the stakeholders may be. You also need to remember that they don't have a lot of time to invest in listening to you about the various updates of the progress of the project but they still want all the information about the project in an effective and timely manner. This means that the project manager or you need to make sure that you regularly come up with a brief report that covers up all the aspects of the project and discusses the progress that was made from the last time you presented the report.

When you are dealing with the top management, it is extremely crucial for you to initially discuss an in-depth plan because these are the plans that will help you figure out what exactly it is they are looking for and what has to be avoided. When you come up with a project plan, you should get it approved from the top management, and this includes every little detail, including the designing.

If something goes wrong with the designing at a later stage and the top

management does not approve of it, this means that you have to start your project all the way from scratch, and they will not be very flexible with regard to the schedule of the delivery. Top management stakeholders do not like to be contacted over and over again when it's not required. So the best thing to do is speak with them for a feasible schedule or a time that they would like to meet and provide them with all the reports at that requested time.

Try to figure out an ongoing process of providing the information without having to have face-to-face meetings with them, as this will keep you rest assured that you have cleared your side of the task and you uploaded it for them to see whenever they are available even if it's late at night.

As scary as it may sound, it is important for you to make sure that you keep the top management stakeholders informed of the various risks that may be involved with the project, along with the solutions that can be used to minimize the risk.

Dealing with top management is intimidating, so the higher the level of transparency you maintain with them, the easier it will be for the project to run smoothly. Even if there is a requirement for a time extension, it is better to ask them for it in advance rather than keep them hanging in thin air because that is something they will not like.

The Project Team

The project team consists of the various people who are involved in the project, either working full-time or part-time. It is a project manager's responsibility to take up the role of a leader and ensure that all team members know the direction of the project. Most importantly, they should have the right kind of support that will help them to function effectively and to complete all the tasks that have been designated to them regularly and effectively. The best way to spruce up the team's performance in a timely manner is to provide them with support every time and ensure that you motivate them regularly. The most important feature of building a strong team is communication and problem-solving skills. As a project manager, you should be available for your team to consult with them whenever they are faced with a problem so that you can provide them with the solution

instantly.

The longer your team needs to deal with the problem, the lower the motivation levels they have, and this is not good because it could affect the eventual outcome of the project. If you want your team to function smoothly, you may want to help solve the problems as soon as possible and build a strong rapport with them so that they are able to approach you even when there is something that is terribly wrong or if they made a mistake that you need to address. As a project manager, you also need to remember that not caring for your team will not get you anywhere. If they do something that is unacceptable or wrong, it will not allow them to come in and speak with you. You need to learn to be an approachable person and somebody whom they can come to and talk to even in the worst situations. While it is important to be a leader, you also need to learn how to be friendly and cooperative if you want the project to be a successful one.

There are a few problems project managers will face with their team members, and here are the most common ones that you may encounter:

- dealing with a team that is freelancing and does not dedicate enough time to the project because they have other commitments
- juggling between too much work and struggling to meet the deadline
- personal conflict between two team members because of differences in opinion
- team member falling ill and requesting for a little extension on the project, however failing to return because the illness is too serious

Let's figure out how to overcome these problems.

Involve your team members when planning the project, and constantly ask them if they are comfortable with the schedule. Make sure that you arrange for constant meetings with the team members. These meetings don't have to be formal ones but rather social gatherings where they can actually open up about their ideas and thoughts about the project. You may have to do this at your own expense, but you need to remember that this benefits the project in the long run. These team members will open up about certain secrets or thoughts that they have about the project that they will not be able to do in a

formal meeting or in a work environment.

Always encourage your team members to brainstorm and give you the ideas they think will work toward benefiting the project. Constantly encourage and praise them if they come up with these ideas. Always give credit where due.

Review the performance of your team members and shout out to the ones who have performed exceedingly well. While you should always praise your team members in front of everyone, when you have to tell them that they were wrong or address a mistake they made always, do it in private.

Your Manager

In between the top management and you will be a manager who will assign certain kind of tasks to you and want to constantly check on how you are doing. These managers do not have any interest in what your team is doing, and their focal point of contact is you. Although they are at a lower level than the top management, they are a little tough to please because they are under a lot of pressure by the top management directly above them. While you may be in touch with the top management and your manager, you also need to ensure you constantly provide them with critical information about the project so they can be ready to provide you with the all the resources you need in case it is required. If there is a potential risk that you see approaching, always make sure to inform your manager as soon as possible because they will manage to provide you with assistance effectively. You need to remember that just as you are maintaining a great rapport with your team member, it is essential for you to do so with your manager as well. The more understanding you are, the more supportive your boss will get. This is necessary if you want the project to turn out well. You have to remember that when you are handling a project, it's your name on the line, and you should do anything that it takes to deliver a top-quality project because that's what matters the most.

There are a number of ways you can constantly provide support to your manager, which include the following:

- Tell them about the performance and how you measure it so that they are assured the project is progressing as per schedule.

- Have discussions and get clear directions from the management in case there is something that you are confused about and clearly ask for specifications or clarifications when needed.
- Build rapport with them and always ask them for feedback so that you know exactly when and how you are going wrong, and you can get things changed at an early stage.
- When you come to your manager, you should try to communicate as often as possible, and if you get a chance to talk to them daily, it is highly recommended.

Peers

The peers are referred to as the other project managers in the same organization as you and who work at the same level but are not handling the project that you are currently dealing with. There could be various reasons why these project managers are not assigned the project that you are handling but still be interested in what's going on with the project. It's important for you to maintain a respectful relationship with your peers because sometimes business owners and top management try to see what sort of relationship you maintain with your coworkers and decide whether or not you will be effective on a project on a regular basis or how comfortable you are adapting to somebody else. When a project is handed over to you and the other project managers do not have a project to work on, there is bound to be a little tension between the two of you. However, it is your responsibility to ease the tension and try to extend a friendly approach to the situation. You should always remind yourself that when you work in a tense situation it affects the quality of work that you deliver, and the negative energy and tension you carry will be transferred to your team.

You should always remember not to try to gain control over the people who are considered your peers only because you have got to handle a project and they do not have one.

If you think that they are trying to sabotage your project or manipulate in any way, always bring this to the notice of the top management or your manager so that you reduce the harm.

Jealousy is common when two people are working in the same position and

the other person is getting more importance. However, it's your responsibility to learn how to cope with jealousy even if it is from your end or from the opposing end.

If there are different instructions given by your manager and your peers' manager, always make sure to go with what your manager has to say.

The support of your peers is essential, and when you learn to extend a friendly hand toward them, they will manage to give up their jealousy and try to be of help to you in some way or the other. Their ideas for brainstorming may also come in handy. When they do something that can benefit the project, it is important for you to bring it to the notice of your manager because they deserve the credit for a job well done. Everyone has special skills, and if you know that they are very good at something, do not shy away from asking them for a cistern just because you are working on a project and they are not. When management teams noticed that two project managers often come together for the benefit of one particular project, they try to bring in larger projects and have two teams coordinate as one to get the job done.

Resource Managers

Project managers have the authority to borrow various resources and other team members to help them with a particular project. It is for this reason that it is important for project managers to maintain relationships with people at the workplace. When you have a good relationship with the people that you work with, it gets easy for you to acquire the best talent in the organization and outside of it without having to struggle too much. When you have good relationships with the resource manager, the more likely you are to get your hands on the resources and the people you need at the right time. As a project manager, it is very important for you to play your cards right, and in this situation, a resource manager is definitely one of your strongest cards. Good resources can guarantee that good quality of the project, so when you focus on the relationship with your resource manager, you will end up getting better results for the project.

Internal Customers

Individuals who work with the organizations are also customers for the

project, so you need to make sure that you meet the demands of these customers before it meets the general public. You need to remember that it is up to the customer to decide whether the project that you created is a hit or a myth, so taking feedback from internal customers adds huge value for the project, and in case there is something that they suggest, it should definitely be taken seriously. As far as internal customers are concerned, your relationship with them also plays a huge role because this can help you to clearly negotiate as well as take their advice to modify the specifications and deliverables for the project. It's important to give them an open ear and listen to see what concerns they have and deal with these concerns effectively. As much as you would like to provide them with everything that they are looking for, there are certain issues that you may come across when it comes to dealing with these internal customers, and these could include the following:

- a lack of clarity with requirements
- incomplete documentation
- a lack of knowledge from their side in terms of the operating characteristics of the project
- unrealistic budget requirements or deadlines that may not be able to be met
- reluctance from the customer to sign the project for it to begin on time
- sudden suggestions for change

If you want to meet the requirements without having to struggle too much, then here are a few things you may want to try:

- Understand the organization that you are working for and figure out the culture and learn more about the business.
- Clarify as many doubts as you have with regard to the project, the requirement, and the specification and try to get it on a written agreement.
- Explain the change of procedure, and they should also be aware that there will be an extension for every change they request.
- Give them one point of contact. Tell them the only person that

they get in touch with is that one person and not multiple people in the team.

External Customer

Apart from the internal customers, the external customers also need to be taken into consideration. When the project is ready, it will be marketed to these people, and if they do not like the project, then all your efforts are in vain. A smart way to approach external customers would be to give them small teasers about the project and ask them for suggestions or reviews about the project that they think would be beneficial. Take their advice seriously because they are the people spending money on the project.

Government

There are tons of projects that need to be handled under heavy regulation by the law of the government, and these regulations should be followed completely. As a project manager, it's your responsibility to get a detailed list of all the rules and regulations and laws that you need to abide by in order for the project to cross all the tick marks on the checklist.

Contractor Subcontractors and Suppliers

The project manager needs to ensure that they have all the resources available for the project, whether it is vendors externally available or an in-house team. This could be in the form of skilled labor or even products or services that need to be purchased from various contractors and suppliers. The only way your project will be able to hit the ground on time is when you have a detailed list of all these suppliers and subcontractors available. When dealing with subcontractors or suppliers, some of the problems that you could face include the following:

- quality of work
- budget constraint
- schedule problems

Since most of the project that you are dealing with will depend on external suppliers or contractors, it is important that you should try to get them to bend their rules a little by promising them regular work if it is done effectively and qualitatively. If you want to be a successful project manager you should have a dedicated list of people that you hire on an ongoing basis because these are the people who will want to be pleasing you all the time since you will give them regular work. When dealing with these contractors and subcontractors, you also need to learn how to improve your interpersonal skills and negotiating skills so that you come up with the best deal for your project. You also need to learn how to handle conflicts that become a regular part of dealing with contractors, subcontractors, and suppliers.

Project Politics

One of the worst things that you may have to deal with as a project manager is project politics. Project politics refers to the internal conflict between two stakeholders who have conflicting interests. It is important for you to step up and try to figure out a way to solve the conflict and make the stakeholders happy. In case one stakeholder has unreasonable requirements, it's your responsibility to somehow explain to them the benefits of the other stakeholder's requirements in a way that they do not look like they are in the wrong but instead look like they are the better people. In simple words, a project manager needs to learn how to play politics with the stakeholders if they want to get their way without upsetting the stakeholder or making them look like they were wrong.

Assessing the Environment

It's important for a project manager to understand how to assess the environment, what is right, and what will have a higher impact on the project in a tactful manner. They need to look at the environment that they are working in and consider the various interests of the project. It's important for them to also explain it to the stakeholders.

Identify Goals

As a project manager, you also need to understand the needs of the stakeholder and figure out what their goals are. You may want to check out what motivates them to stay focused on the project and what they are looking for out of it. You also need to see whether they have any hidden agenda and whether what they actually state is what they are truly looking for. Lastly and most importantly, you need to see how much power the stakeholder holds. For example, if the stakeholder is the business owner, then there is no question that you want to listen to everything they say, irrespective of what their demands are. While you can try to reason with them, you cannot force them too much because they are the ones who hand over the salary to you at the end of the month, and you do not want to disappoint them.

Culture of Stakeholders

You need to always remember that there will be various stakeholders in any project, and there are bound to be cultural differences that they may come with. Some of the major cultural differences include the following:

- communications
- negotiations
- difference in opinion

While communication may be easy to deal with, sensitive conflict with regard to the culture is the issue that has to be addressed tactfully and with a sensitive approach. While language may create a huge communication gap between project stakeholders and the project management, it is still essential for the manager to try to provide the stakeholder with all the possible information and also give them information with the help of a translator. Overcoming communication barrier with stakeholders may seem like a difficult task, but it's actually more achievable than coming to terms with negotiation or difference in opinion that requires a more lengthy approach. While it may take a while for the project to kick-start because of a communication barrier, it becomes easy to exchange information with the

help of a translator. This not only ensures that the project is done according to the requirements of the stakeholders, but it also avoids any confusion.

Managing Stakeholders

In many organizations, there is often more than one stakeholder that a project manager may need to deal with and impress in order for the project to kick-start on time. The larger the project, the more stakeholders would be involved, and this also includes a deeper level of emotional investment on the side of the project manager to understand what each stakeholder is looking for and how to pay attention to every need without upsetting anyone. Stakeholders are quite picky, and when they have an investment in the project, they tend to disagree on simple things, thereby delaying the project unnecessarily. In such situations, it depends on the project manager to bring them together and help them understand what has to be done for the betterment of the project. The one thing that a project manager needs to understand is never to go against a stakeholder because they don't like being told that they were wrong.

Tips to Cultivate Relationships for a Project

Before the project begins, it is important for you to try to understand the stakeholder and the way they think as much as possible because this will help to start the project a lot smoother, and it will also avoid any conflicts later on. The more information you have about the people you work with, the less likely it is for you to complicate matters. Let's take a look at some of the most effective tips to build relationships during project management.

Analyzing the Stakeholders

It is highly recommended that you assess every stakeholder's involvement in the project and also take into consideration their contribution. It is also important for you to figure out how authoritative the stakeholder is and what level or designation they are at. Some stakeholders also have certain rules

about participation in a project, and in case there is a stakeholder who is actively involved, you need to take note of their contributions to ensure that it is accounted for and provided on time.

Assess Influence

You need to make sure that you understand the level of influence a stakeholder can have on the project. This matters in terms of the various decisions and the level of support that you will need for the project to go on smoothly. You also need to take into consideration how they will benefit from the project. You have to remember that if they have a lot to get out of it, this means that they are vested in the project and it matters. If they have a high level of influence and they are an important person, you may not want to displease them.

Understand Their Expectations

The best way to deal with stakeholders is to take down every little detail of what they are expecting from the project and try to match up to the expectations as closely as possible.

Define the Success Term for the Project

Different stakeholders have different expectations from a project, and while you already know what they are looking for, it is important for you to put down your terms on the table and let them know what you will be able to deliver in the given time frame and what they should expect to see at the end of the project.

Keep Them Involved

This is one of the most important things you need to remember in the project. Apart from providing them with weekly reports of what's going on, you also need to make sure that you give them the right to provide their inputs as and when the project moves forward. While they may not even consider doing this, they will feel good just knowing that you asked.

Chapter 14: Project Code of Ethics and Professional Conduct Questions

When you deal with people belonging to various cultures and nationalities, it gets tough to establish an effective code of ethics and culture that would make everyone feel welcome. While it's vital to hire the best available talent to get the job done, it's not always easy to work with a team that's diverse in various ways. While some people believe it's best to stick to local talent to avoid confusion, the truth is involving people belonging to different cultures can help you get a broader view of the various aspects to look at the project, and this makes it easier to get it done in a streamlined and better way. When you have more contributions to the project, it's easier to filter the best ideas and use them to benefit the project. However, the one problem you need to face when dealing with such situations is the fact that you've got to get yourself accustomed to various kinds of work ethics that you may not necessarily be familiar with.

When you work with a large team, you need to take into consideration the behaviors, beliefs, values, and opinions of everyone involved; and this could take a toll on you sometimes. In order for you to make sure you don't offend anyone and you have clear work ethics that you usually follow along with social conventions that make it comfortable for everyone working in the team, you need to make sure you keep it simple. When there are too many rules to follow, it's common for people to get confused and do or say things that they aren't supposed to. You need to remember that while it's important to respect all cultures, bringing up these discussions at work is never a good idea. While you will be respectful toward all cultures, there's no way to be sure everyone on the team is. While you can always correct the person who makes a snarky comment on certain sensitive issues, the damage is already done, and the victim will never feel safe or comfortable at the workplace again. This makes it difficult for that person to deliver quality work, and it will always affect the outcome of the project in the long run.

Project Manager's Checklist

As a project manager, it is important for you to identify the right culture and ethics that need to be established at a workplace. These rules need to be followed, not just at the physical office but also in the virtual world. The importance of all team members being able to respect each other and work in adherence with each other is vital for the success of the project. As a project manager, you need to take up the responsibility to ensure you create a comfortable work environment for everyone. This means you take into consideration the various factors that could create tensions in the workplace and ensure that they are never brought up. You need to make sure you establish a corporate work culture for everyone in the team and make sure that all the team members feel safe and comfortable working together. While it's not common for team members to lash out against each other, if they do, it's your responsibility to learn how to deal with these situations and calm the situation before it gets out of hand. You also need to take care while selecting the team you want to work with on the project and try to bring in members who enjoy working with each other as opposed to the ones that do not like working with each other. It is important that the team members learn how to work well together so they can follow the protocols and be as productive as possible to the team. In order to enhance the productivity of the team members, you need to learn how you will create an environment that makes the entire team work together as *one* enterprise and not individual people. They need to learn how to work together and not individually. Coordination and communication are vital and have to be done regularly to keep track of the progress and understand what everyone is doing.

Apart from coordinating the team and making sure they work well together, it's also important for the project manager to figure out an effective way to deal with the various stakeholders involved with the project. Some of these stakeholders may seem to be easy to please while others may constantly find something wrong with the way things are going. This means that you will need to work extra hard to please them and come up with rational explanations to your planning and the steps you think are necessary for the success of the project. Every little detail about the project has to be recorded, and this includes the initial stages of raw ideas as well. These need to be presented in front of the stakeholders before you can come up with a final draft for the scope. This is important because it will help you get ideas on that and how you need to do in order to go about creating the right plan for the project by minimizing the risk and staying within the provided budget. While

some stakeholders don't bother questioning you with regard to the budget, there are others who need to get the smallest detail with regard to the expenses. While you may find this daunting, it's the most transparent way to maintain records and provide information. Even if you don't have a fussy stakeholder who demands all this information, it's always preferred that you provide all this information to them anyway. This helps keep the project clean, and in case you're ever asked for this information, you just need to pull out the records and provide it to the stakeholders.

When providing information to stakeholders, you need to try to figure out an effective way to communicate with them. Most stakeholders don't have a lot of time in hand, and they will ask you for a brief of what's happening with the project. While you need to keep the information as short as possible, you still need to make sure you cover up important areas, such as the progress, the current status, and potential risks identified at the stage. It's also important to let the stakeholders know whether or not your team is on track to deliver the project at the deadline or not. In case you know there's going to be a delay with the delivery, it's important to notify the stakeholders as early as possible to avoid getting them upset. Stakeholders tend to keep the day of delivery of the project free so that they can come to check it out. Not giving them a precise date means wasting their time, and this could tick them off. Whether the news is good or bad, you have to keep them in the loop.

When it comes to dealing with the project team, you need to be more focused. Consider the increasing demands for freelancer and the convenient methods of being able to hire people from any part of the globe. It's convenient to find the right team members for the project. However, communicating with these team members might get difficult when they belong to different countries and could have communication problems. If you have a great designer from a small town in a far-off country, it may not be easy for you to follow their accent or understand what they say over a call. However, you will still manage to understand what they write, which is why you should use written communication as your tool in these situations. Even if it's not easy for the entire team to communicate effectively because of language barriers, there are better ways to communicate by beating these barriers and carrying forward the project without any problems.

As a project manager, you need to remember that the best way to deal with a project is to break it down into smaller and more manageable tasks right from

the start. This guide will help you understand how this can be done and what kind of responsibilities you can delegate to others. The more you prepare yourself, the easier it will be for you to handle all your responsibilities one step at a time. This PMBOK guide covers up all the topics you can be quizzed on during your exam, so make sure you get familiar with all the topics before you attempt the exam. This guide will also help you understand how to deal with different scenarios in the project and tackle risks before they hamper your project beyond repair. This certification will help you to go places, and it will also help you use the PMP knowledge in the practical world, not just to bag the job of your dreams but also to carry out all your responsibilities with ease and precision and without any errors in your field of work. Good luck!

[1] “4. Framework for Project Management: Project Management” (2019). Opentextbc.ca. Retrieved March 28, 2019, from <https://opentextbc.ca/projectmanagement/chapter/chapter-4-framework-for-project-management-project-management/>

[2] “4. Framework for Project Management—Project Management” (2019). Opentextbc.ca. Retrieved March 28, 2019, from <https://opentextbc.ca/projectmanagement/chapter/chapter-4-framework-for-project-management-project-management/>